

EMCASCO INSURANCE COMPANY

PRIOR POLICY: 5E4-58-35

COMMERCIAL AUTO DECLARATIONS - BUSINESS AUTO

POLICY PERIOD: FROM 07/01/25 TO 07/01/26

* POLICY NUMBER *
* 5 E 4 - 5 8 - 3 5 ---26 *

ITEM ONE:

N A M E D I N S U R E D :

P R O D U C E R :

MITCHELL COUNTY BOARD OF
EDUCATION
72 LEDGER SCHOOL RD
BAKERSVILLE NC 28705-7260

Surry Insurance Agency
PO BOX 128
DOBSON NC 27017-0128

DIRECT BILL

AGENT: BX 8591
AGENT PHONE: (336)386-8228
CLAIM REPORTING: (888)362-2255
SERVICING CARRIER: (704)916-8600

THIS POLICY RENEWAL IS OFFERED CONTINGENT UPON THE RECEIPT OF PAYMENT
WHICH IS DUE ON 08/01/25.

INSURED IS: NOT FOR PROFIT ORG BUSINESS DESC: PUBLIC SCHOOL SYSTEM

ITEM TWO: SCHEDULE OF COVERAGES AND COVERED AUTOS

THIS POLICY PROVIDES ONLY THOSE COVERAGES WHERE A CHARGE IS SHOWN IN THE
PREMIUM COLUMN BELOW. EACH OF THESE COVERAGES WILL APPLY ONLY TO THOSE
'AUTOS' SHOWN AS COVERED 'AUTOS'. 'AUTOS' ARE SHOWN AS
COVERED 'AUTOS' FOR A PARTICULAR COVERAGE BY THE ENTRY OF ONE OR MORE OF
THE SYMBOLS FROM THE COVERED AUTO SECTION OF THE BUSINESS AUTO COVERAGE FORM/
MOTOR CARRIER COVERAGE FORM NEXT TO THE NAME OF THE COVERAGE.

COVERAGES	COVERED AUTOS	LIMIT OR DEDUCTIBLES	P R E M I U M
COVERED AUTOS LIABILITY	01	\$ 1,000,000	11,607.50
AUTO MEDICAL PAYMENTS	02	\$ 1,000 EACH INSURED	119.00
UNINSURED AND UNDERINSURED MOTORISTS	02	SEE ENDORSEMENT CA7093.2A.	2938.00

PHYSICAL DAMAGE COVERAGE (FOR EACH COVERED AUTO).

COMPREHENSIVE	08 10	SEE ITEM SIX FOR DEALERS AUTOS	1,835.00
COLLISION COVERAGE	08 10	SEE SCHEDULE FOR DED FOR EACH COVERED AUTO	5,400.00
PREMIUM FOR ATTACHED ITEMS 4, 5, AND/OR 6			644.05

PREMIUM FOR ENDORSEMENTS \$. 380.98

*ESTIMATED TOTAL POLICY PREMIUM \$. 22,912.50

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EMCASCO INSURANCE COMPANY

PRIOR POLICY: 5E4-58-35

COMMERCIAL AUTO DECLARATIONS - BUSINESS AUTO

FORMS APPLICABLE:

CA0001(11/20)*, CA0126(01/25)*, CA0421(11/20)*, CA0524(11/20)*,
CA2054(11/20)*, CA2116(01/25)*, CA2394(10/13)*, CA7001A(02/22)*,
CA7002A(02/22)*, CA7007(11/20)*, CA7093A(02/22)*, CA7313(11/15)*,
CA7438(11/15)*, CA7446(11/15)*, CA7493(09/24)*, CA8171(11/15)*,
CA8189(11/08)*, CA8198(02/10)*, CA9903(10/13)*, CA9933(10/13)*,
CA9948(10/13)*, CA9954(10/13)*, IL0017(11/98)*, IL0021(09/08)*,
IL7004(03/20)*, IL7131A(04/01)*, IL7607(03/13)*, IL8576(10/17)*

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EMCASCO INSURANCE COMPANY

POLICY NUMBER: 5E4-58-35---26

MITCHELL COUNTY BOARD OF

EFF DATE: 07/01/25

EXP DATE: 07/01/26

C O M M E R C I A L A U T O P O L I C Y D E C L A R A T I O N S

E N D O R S E M E N T S C H E D U L E

FORM	EDITION DATE	DESCRIPTION/ADDITIONAL INFORMATION	PREMIUM
*CA0001	11-20	BUSINESS AUTO COVERAGE FORM TERRORISM COVG INCL IN MAIN COV FORM	\$ 24
*CA0126	01-25	NORTH CAROLINA CHANGES	
*CA0421	11-20	FULL SAFETY GLASS DESCRIPTION OF VEHICLES THAT ARE COVERED AUTOS: ALL AUTOS WHERE PHYSICAL DAMAGE COVERAGE APPLIES.	
*CA0524	11-20	NON-OWNERSHIP LIAB COV FOR VOLUNTEER NON-OWNERSHIP LIABILITY COVRG FOR VOLUNTEERS ACTIVITIES RELATING TO MITCHELL COUNTY BOARD OF EDUCATION	
*CA2054	11-20	EMPLOYEE HIRED AUTOS	
*CA2116	01-25	NC UNINSURED MOTORISTS COVERAGE	
*CA2394	10-13	SILICA OR SILICA RELATED DUST EXCL	
*CA7001A	02-22	COMM AUTO DECLARATIONS/ADDIT'L ITEMS	
*CA7002A	02-22	COMM AUTO DECLARATIONS - ITEMS 4 & 5	
*CA7007	11-20	QUICK REFERENCE BUSINESS AUTO FORM	
*CA7093A	02-22	UM/UIM SUPPLEMENTAL SCHEDULE	
*CA7313	11-15	PREJUDGMENT INTEREST	
*CA7438	11-15	TORT LIABILITY ENDORSEMENT	
*CA7446	11-15	EXCL NO CAROLINA PUBLIC SCHOOL BUSES	
*CA7493	09-24	COMMERCIAL AUTO ELITE EXT SCHOOLS	
*CA8171	11-15	CLARIFICATION AFTERMARKET CRASH PRTS	
*CA8189	11-08	NORTH CAROLINA AUTO SUPPLEMENT	
*CA8198	02-10	NORTH CAROLINA POLICYHOLDER NOTICE	
*CA9903	10-13	AUTO MEDICAL PAYMENTS COVERAGE	
*CA9933	10-13	EMPLOYEES AS INSUREDS	
*CA9948	10-13	POLLUTION LIAB BROADND COV/COV AUTOS	
*CA9954	10-13	COVERED AUTO DESIGNATION SYMBOL SYMBOL DESCRIPTION 10 COVERAGE APPLIES TO ALL OWNED VEHICLES E PROVISIONS OF NORTH BUT DOES NOT APPLY TO PUBLIC SCHOOL BUSES OPERATED UNDER THE PROVISIONS OF NORTH CAROLINA GENERAL STATUTE 115C-242 FOR WHICH CLAIMS ARE SUBJECT TO THE NORTH00.1 CAROLINA STATE TORT CLAIMS ACT AS PROVIDED BY GENERAL STATUTE NO. 143-300.1 ***** COVERAGE IS EXCLUDED FOR ANY VEHICLE WITH A SALVAGE TITLE	
*IL0017	11-98	COMMON POLICY CONDITIONS	
*IL0021	09-08	NUCLEAR ENERGY LIAB EXCL/BROAD FORM	
*IL7004	03-20	MUTUAL POLICY PROVISIONS	

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FORM: IL7131A (ED. 04-01)

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C O M M E R C I A L A U T O P O L I C Y
D E C L A R A T I O N S

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ENDORSEMENT SCHEDULE

FORM	EDITION DATE	DESCRIPTION/ADDITIONAL INFORMATION	PREMIUM
*IL7131A	04-01	COMM'L POLICY ENDORSEMENT SCHEDULE	
*IL7607	03-13	NORTH CAROLINA COMPANY ELIMINATION	
*IL8576	10-17	MEDICARE IMPT NOTICE TO POLICYHOLDER	

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EMCASCO INSURANCE COMPANY

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****COMMERCIAL AUTO DECLARATIONS - BUSINESS AUTO COVERAGE FORM****

SUPPLEMENTARY SCHEDULE

ITEM TWO - UNINSURED MOTORISTS COVERAGE AND UNDERINSURED MOTORISTS COVERAGE

THE LIMIT OF INSURANCE FOR THE COVERAGE SHOWN BELOW IS THE LIMIT OF INSURANCE SHOWN FOR THE STATE WHERE A COVERED 'AUTO' IS PRINCIPALLY GARAGED. THE LIMIT OF INSURANCE SHOWN FOR THE STATE DOES NOT INCLUDE PRIVATE PASSENGER NON-FLEET AUTOS IN THE STATE OF NORTH CAROLINA. REFER TO VEHICLE SCHEDULE FOR SPECIFIC LIMITS THAT APPLY TO INDIVIDUAL PRIVATE PASSENGER NON-FLEET "AUTOS" IN THE STATE OF NORTH CAROLINA. REFER TO THE SPECIFIC COVERAGE ENDORSEMENT FOR THE DESCRIPTION OF THE COVERAGE PROVIDED FOR EACH STATE LISTED BELOW.

COVERAGE

UNINSURED MOTORISTS LIMIT OF INSURANCE

	"BODILY INJURY" AND "PROPERTY DAMAGE" COMBINED	"BODILY INJURY" EACH PERSON EACH "ACCIDENT"	"BODILY INJURY" EACH "ACCIDENT"	"PROPERTY DAMAGE" EACH "ACCIDENT"
ST	SINGLE LIMIT			
NC	\$ 1,000,000			

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MITCHELL COUNTY BOARD OF EDUCA EFF DATE: 07/01/25 EXP DATE: 07/01/26

COMMERCIAL AUTO DECLARATIONS - BUSINESS AUTO

ITEM THREE - SCHEDULE OF COVERED AUTOS YOU OWN

COVERED AUTO DESCRIPTION / COVERAGE . PREMIUM

LOC: 001 356 S MITCHELL AVE
BAKERSVILLE NC. 28705-8405

VEH NO 1 TERR: 124
1997 INTNL BUS ID NO 1HVBBAAN7VH504972.
ADDITIONAL INFORMATION:
COST NEW: 40643 RADIUS: LOCAL USE: NA .
AGE: LIAB-Z PHYS-Z .
SCHOOL BUS-PUBLIC CLASS: 6183 .
COVERED AUTOS LIABILITY . \$ 412.57
AUTO MEDICAL PAYMENTS . 7.00
UNINSURED MOTORISTS . INCLUDED
UNINSURED MOTORISTS PD 100 DED . INCLUDED
UNDERINSURED MOTORISTS . INCLUDED
COMPREHENSIVE ACV 500 DED . 12.00
\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO
(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM
FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION	ACV	500 DED	.	39.00
TOTAL VEHICLE PREMIUM			.\$	588.57

VEH NO 2 TERR: 124
1990 INTNL BUS ID NO 1HVBBZWN9LH242456.
ADDITIONAL INFORMATION:
COST NEW: 30000 RADIUS: LOCAL USE: NA .
AGE: LIAB-Z PHYS-Z .
SCHOOL BUS-PUBLIC CLASS: 6183 .
COVERED AUTOS LIABILITY . \$ 412.57
AUTO MEDICAL PAYMENTS . 7.00
UNINSURED MOTORISTS . INCLUDED
UNINSURED MOTORISTS PD 100 DED . INCLUDED
UNDERINSURED MOTORISTS . INCLUDED
COMPREHENSIVE ACV 500 DED . 10.00
\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO
(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM
FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION	ACV	500 DED	.	39.00
TOTAL VEHICLE PREMIUM			.\$	586.57



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VEH NO 3 TERR: 124

2007 INTNL BUS

ID NO 4DRBUAFN67B305762.

ADDITIONAL INFORMATION:

COST NEW: 55000 RADIUS: LOCAL USE: NA .

AGE: LIAB-N PHYS-N .

SCHOOL BUS-PUBLIC CLASS: 6184 .

COVERED AUTOS LIABILITY . \$ 480.57

AUTO MEDICAL PAYMENTS . 8.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 19.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 66.00

TOTAL VEHICLE PREMIUM . \$ 691.57

VEH NO 4 TERR: 124

1998 FREIGHTLINER BUS

ID NO 4UZ6CJAA2WCA09674.

ADDITIONAL INFORMATION:

COST NEW: 33000 RADIUS: LOCAL USE: NA .

AGE: LIAB-Z PHYS-Z .

SCHOOL BUS-PUBLIC CLASS: 6183 .

COVERED AUTOS LIABILITY . \$ 412.57

AUTO MEDICAL PAYMENTS . 7.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 10.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 39.00

TOTAL VEHICLE PREMIUM . \$ 586.57

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VEH NO 5 TERR: 124

2009 CHEVROLET EXPRESS

ID NO 1GBJG316891116272.

ADDITIONAL INFORMATION:

COST NEW: 52385 RADIUS: LOCAL USE: SERVICE

AGE: LIAB-L PHYS-L

LIGHT TRUCK CLASS: 01499

COVERED AUTOS LIABILITY . \$ 454.57

AUTO MEDICAL PAYMENTS . 3.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 77.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 171.00

TOTAL VEHICLE PREMIUM . \$ 823.57

VEH NO 6 TERR: 124

2010 FREIGHTLINER BUS

ID NO 4UZABRDT5ACAM1150.

ADDITIONAL INFORMATION:

COST NEW: 84103 RADIUS: LOCAL USE: NA

AGE: LIAB-K PHYS-K

SCHOOL BUS-PUBLIC CLASS: 6183

COVERED AUTOS LIABILITY . \$ 412.57

AUTO MEDICAL PAYMENTS . 7.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 25.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 91.00

TOTAL VEHICLE PREMIUM . \$ 653.57

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VEH NO 7 TERR: 124

2005 FORD F250

ID NO 1FTSX21545EC34162.

ADDITIONAL INFORMATION:

COST NEW: 27660 RADIUS: LOCAL USE: SERVICE

AGE: LIAB-Q PHYS-Q

LIGHT TRUCK CLASS: 01499

COVERED AUTOS LIABILITY . \$ 391.57

AUTO MEDICAL PAYMENTS . 3.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 47.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 99.00

TOTAL VEHICLE PREMIUM . \$ 658.57

VEH NO 8 TERR: 124

2007 INTNL WRECKER

ID NO 1HTMSAAR57H519669.

ADDITIONAL INFORMATION:

COST NEW: 68360 RADIUS: LOCAL USE: SERVICE

AGE: LIAB-N PHYS-N

HEAVY TRUCK CLASS: 31499

COVERED AUTOS LIABILITY . \$ 482.57

AUTO MEDICAL PAYMENTS . 3.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 73.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 223.00

TOTAL VEHICLE PREMIUM . \$ 899.57

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VEH NO 9 TERR: 124

2012 FORD F250

ID NO 1FTBF2B65CED12360.

ADDITIONAL INFORMATION:

COST NEW: 31810 RADIUS: LOCAL USE: SERVICE

AGE: LIAB-I PHYS-I

LIGHT TRUCK CLASS: 01499

COVERED AUTOS LIABILITY . \$ 451.57

AUTO MEDICAL PAYMENTS . 3.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 69.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION

ACV

500 DED

TOTAL VEHICLE PREMIUM . \$ 147.00

788.57

VEH NO 10 TERR: 124

2018 THOMAS BUS

ID NO 4UZABRDT8JCJE5124.

ADDITIONAL INFORMATION:

COST NEW: 88533 RADIUS: LOCAL USE: NA

AGE: LIAB-C PHYS-C

SCHOOL BUS-PUBLIC CLASS: 6184

COVERED AUTOS LIABILITY . \$ 480.57

AUTO MEDICAL PAYMENTS . 8.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 38.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION

ACV

500 DED

TOTAL VEHICLE PREMIUM . \$ 140.00

784.57

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VEH NO 11 TERR: 124

2003 CHEVROLET 2500

ID NO 1GCHK29153E121330.

ADDITIONAL INFORMATION:

COST NEW: 29077 RADIUS: LOCAL USE: SERVICE

AGE: LIAB-T PHYS-T

LIGHT TRUCK CLASS: 01499

COVERED AUTOS LIABILITY . \$ 377.57

AUTO MEDICAL PAYMENTS . 3.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 44.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 99.00

TOTAL VEHICLE PREMIUM . \$ 641.57

VEH NO 12 TERR: 124

2017 GMC\CHEVY 3500

ID NO 1GB3GSCG1H1224787.

ADDITIONAL INFORMATION:

COST NEW: 37406 RADIUS: LOCAL USE: SERVICE

AGE: LIAB-D PHYS-D

MEDIUM TRUCK CLASS: 21499

COVERED AUTOS LIABILITY . \$ 499.57

AUTO MEDICAL PAYMENTS . 3.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 99.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 205.00

TOTAL VEHICLE PREMIUM . \$ 924.57

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EMCASCO INSURANCE COMPANY

MITCHELL COUNTY BOARD OF EDUCA

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EFF DATE: 07/01/25

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VEH NO 13 TERR: 124

2018 THOMAS 310TS BUS

ID NO 4UZABRFCXJCJX3010.

ADDITIONAL INFORMATION: ACTIVITY BUS

COST NEW: 88533 RADIUS: LOCAL

USE: NA

AGE: LIAB-C PHYS-C

SCHOOL BUS-PUBLIC CLASS: 6184

COVERED AUTOS LIABILITY . \$ 480.57

AUTO MEDICAL PAYMENTS . 8.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 38.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION

ACV

500 DED

TOTAL VEHICLE PREMIUM . \$ 140.00

TOTAL VEHICLE PREMIUM . \$ 784.57

VEH NO 14 TERR: 124

2010 THOMAS BUS

ID NO 4UZABRDT5ACAN2892.

ADDITIONAL INFORMATION:

COST NEW: 84103 RADIUS: LOCAL

USE: NA

AGE: LIAB-K PHYS-K

SCHOOL BUS-PUBLIC CLASS: 6183

COVERED AUTOS LIABILITY . \$ 412.57

AUTO MEDICAL PAYMENTS . 7.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 25.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION

ACV

500 DED

TOTAL VEHICLE PREMIUM . \$ 91.00

TOTAL VEHICLE PREMIUM . \$ 653.57

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MITCHELL COUNTY BOARD OF EDUCA

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EFF DATE: 07/01/25

EXP DATE: 07/01/26

VEH NO 15 TERR: 124

2021 DODGE CHARGER

ID NO 2C3CDXKG2MH618057.

ADDITIONAL INFORMATION:

COST NEW: 44000 RADIUS: NA

USE: NA

AGE: LIAB-5 PHYS-5

PRIV PASSENGER - COMM CLASS: 7398

COVERED AUTOS LIABILITY . \$ 484.57

AUTO MEDICAL PAYMENTS . 4.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 118.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION

ACV

500 DED

TOTAL VEHICLE PREMIUM . \$ 300.00

1,077.57

VEH NO 16 TERR: 124

2021 DODGE CHARGER

ID NO 2C3CDXKG5MH626170.

ADDITIONAL INFORMATION:

COST NEW: 44000 RADIUS: NA

USE: NA

AGE: LIAB-5 PHYS-5

PRIV PASSENGER - COMM CLASS: 7398

COVERED AUTOS LIABILITY . \$ 484.57

AUTO MEDICAL PAYMENTS . 4.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 118.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION

ACV

500 DED

TOTAL VEHICLE PREMIUM . \$ 300.00

1,077.57

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MITCHELL COUNTY BOARD OF EDUCA

POLICY NO: 5E4-58-35---26

EFF DATE: 07/01/25

EXP DATE: 07/01/26

VEH NO 17 TERR: 124

2022 RAM 1500 CLASS

ID NO 1C6RR7XTXNS195209.

ADDITIONAL INFORMATION:

COST NEW: 42760 RADIUS: LOCAL USE: SERVICE

AGE: LIAB-4 PHYS-4

LIGHT TRUCK CLASS: 01499

COVERED AUTOS LIABILITY . \$ 578.57

AUTO MEDICAL PAYMENTS . 3.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 137.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 410.00

TOTAL VEHICLE PREMIUM . \$ 1,246.57

VEH NO 18 TERR: 124

2022 RAM 2500

ID NO 3C6MR5AJ4NG222630.

ADDITIONAL INFORMATION:

COST NEW: 52000 RADIUS: LOCAL USE: SERVICE

AGE: LIAB-4 PHYS-4

LIGHT TRUCK CLASS: 01499

COVERED AUTOS LIABILITY . \$ 593.57

AUTO MEDICAL PAYMENTS . 3.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 149.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 434.00

TOTAL VEHICLE PREMIUM . \$ 1,297.57

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EXP DATE: 07/01/26

VEH NO 19 TERR: 124

2024 THOMAS BUS

ID NO 4UZABRFC6RCUD8612.

ADDITIONAL INFORMATION:

COST NEW: 96405 RADIUS: LOCAL USE: NA .

AGE: LIAB-2 PHYS-2 .

SCHOOL BUS-PUBLIC CLASS: 6184 .

COVERED AUTOS LIABILITY . \$ 480.57

AUTO MEDICAL PAYMENTS . 8.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 51.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 227.00

TOTAL VEHICLE PREMIUM . \$ 884.57

VEH NO 20 TERR: 124

2024 THOMAS BUS

ID NO 4UZABRFC7RCUF6746.

ADDITIONAL INFORMATION:

COST NEW: 96405 RADIUS: LOCAL USE: NA .

AGE: LIAB-2 PHYS-2 .

SCHOOL BUS-PUBLIC CLASS: 6184 .

COVERED AUTOS LIABILITY . \$ 480.57

AUTO MEDICAL PAYMENTS . 8.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 51.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 227.00

TOTAL VEHICLE PREMIUM . \$ 884.57

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VEH NO 21 TERR: 124

2022 RAM 2500

ID NO 3C7WR5AJ3NG197935.

ADDITIONAL INFORMATION:

COST NEW: 38590 RADIUS: LOCAL USE: SERVICE

AGE: LIAB-4 PHYS-4

LIGHT TRUCK CLASS: 01499

COVERED AUTOS LIABILITY . \$ 567.57

AUTO MEDICAL PAYMENTS . 3.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 130.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 394.00

TOTAL VEHICLE PREMIUM . \$ 1,212.57

VEH NO 22 TERR: 124

2023 RAM 2500

ID NO 3C6UR5CJ6PG505028.

ADDITIONAL INFORMATION:

COST NEW: 59415 RADIUS: LOCAL USE: SERVICE

AGE: LIAB-3 PHYS-3

LIGHT TRUCK CLASS: 01499

COVERED AUTOS LIABILITY . \$ 593.57

AUTO MEDICAL PAYMENTS . 3.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 165.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 477.00

TOTAL VEHICLE PREMIUM . \$ 1,356.57

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VEH NO 23 TERR: 124

2024 RAM 2500

ID NO 3C6MR5AJXRG107164.

ADDITIONAL INFORMATION:

COST NEW: 59465 RADIUS: LOCAL USE: SERVICE

AGE: LIAB-2 PHYS-2

LIGHT TRUCK CLASS: 01499

COVERED AUTOS LIABILITY . \$ 583.57

AUTO MEDICAL PAYMENTS . 3.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 165.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 521.00

TOTAL VEHICLE PREMIUM . \$ 1,390.57

VEH NO 24 TERR: 124

2024 RAM 2500

ID NO 3C6UR5CJ5RG227855.

ADDITIONAL INFORMATION:

COST NEW: 63280 RADIUS: LOCAL USE: SERVICE

AGE: LIAB-2 PHYS-2

LIGHT TRUCK CLASS: 01499

COVERED AUTOS LIABILITY . \$ 583.57

AUTO MEDICAL PAYMENTS . 3.00

UNINSURED MOTORISTS . INCLUDED

UNINSURED MOTORISTS PD 100 DED . INCLUDED

UNDERINSURED MOTORISTS . INCLUDED

COMPREHENSIVE ACV 500 DED . 165.00

\$ 500 DEDUCTIBLE FOR ALL PERILS FOR EACH COVERED AUTO

(A MAXIMUM DEDUCTIBLE MAY ALSO APPLY REFER TO COVERAGE FORM FOR DETAILS.)

SEE ITEM FOUR FOR HIRED OR BORROWED AUTOS

COLLISION ACV 500 DED . 521.00

TOTAL VEHICLE PREMIUM . \$ 1,390.57

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ITEM 3 PREMIUM SUMMARY

COVERED AUTOS LIABILITY	.\$	11,195.00
AUTO MEDICAL PAYMENTS	.	119.00
UNINSURED MOTORISTS	.	2,938.00
UNINSURED MOTORISTS PD	.	INCLUDED
UNDERINSURED MOTORISTS	.	INCLUDED
COMPREHENSIVE	.	1,835.00
COLLISION	.	5,400.00

TOTAL	.\$	21,884.68
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EMCASCO INSURANCE COMPANY

MITCHELL COUNTY BOARD OF EDUCA

EFF DATE: 07/01/25

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COMMERCIAL AUTO DECLARATIONS - BUSINESS AUTO

ITEM FOUR: SCHEDULE OF HIRED OR BORROWED COVERED AUTO
COVERAGE AND PREMIUMSCOVERED AUTOS LIABILITY COVERAGE - COST OF HIRE BASIS
FOR AUTOS **NOT** USED IN YOUR MOTOR

CARRIER OPERATIONS (OTHER THAN MOBILE OR FARM EQUIPMENT)

COVERED AUTOS STATE ESTIMATED ANNUAL COST OF	RATE	PREMIUM
LIABILITY COVERAGE	HIRE FOR ALL STATES	

EXCESS	NC	IF ANY	100	\$	151.00
--------	----	--------	-----	----	--------

FOR 'AUTOS' NOT USED IN YOUR MOTOR CARRIER OPERATIONS, COST OF HIRE MEANS THE TOTAL AMOUNT YOU INCUR FOR THE HIRE OF 'AUTOS' YOU DON'T OWN (NOT INCLUDING 'AUTOS' YOU BORROW OR RENT FROM YOUR PARTNERS OR 'EMPLOYEES' OR THEIR FAMILY MEMBERS). COST OF HIRE DOES NOT INCLUDE CHARGES FOR SERVICES PERFORMED BY MOTOR CARRIERS OF PROPERTY OR PASSENGERS.

TOTAL PREMIUM					\$ 155.21

ITEM FIVE: SCHEDULE FOR NON-OWNERSHIP COVERED AUTOS LIABILITY

PREMIUM

OTHER THAN AUTO
SERVICE OPERATIONS,
PARTNERSHIPS OR LLCs

NUMBER OF EMPLOYEES	26 - 100	\$	458.00
NUMBER OF VOLUNTEERS	10	\$	30.00

TOTAL NON-OWNERSHIP COVERED AUTOS PREMIUM			\$ 518.00

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EMCASCO INSURANCE COMPANY
MITCHELL COUNTY BOARD OF EDUCATION EFF DATE: 07/01/25 POLICY NO: 5E4-58-35---26
EXP DATE: 07/01/26

ENDORSEMENT PREMIUM DETAIL

ENDORSEMENTS	CLASS	PREMIUM
POLLUTION LIABILITY	8574	\$ 102.79
Auto Elite Extension School	8579	\$ 250.00

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DATE OF ISSUE 06/30/25 (BPP)

ENDST-A BPP 07/01/25 102 14 5E45835 2601

BUSINESS AUTO COVERAGE FORM

Various provisions in this Policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this Policy, the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the company providing this insurance.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section V – Definitions.

SECTION I – COVERED AUTOS

Item Two of the Declarations shows the "autos" that are covered "autos" for each of your coverages. The following numerical symbols describe the "autos" that may be covered "autos". The symbols entered next to a coverage on the Declarations designate the only "autos" that are covered "autos".

A. Description Of Covered Auto Designation Symbols

Symbol	Description Of Covered Auto Designation Symbols	
1	Any "Auto"	
2	Owned "Autos" Only	Only those "autos" you own (and for Covered Autos Liability Coverage any "trailers" you don't own while attached to power units you own). This includes those "autos" you acquire ownership of after the Policy begins.
3	Owned Private Passenger "Autos" Only	Only the private passenger "autos" you own. This includes those private passenger "autos" you acquire ownership of after the Policy begins.
4	Owned "Autos" Other Than Private Passenger "Autos" Only	Only those "autos" you own that are not of the private passenger type (and for Covered Autos Liability Coverage any "trailers" you don't own while attached to power units you own). This includes those "autos" not of the private passenger type you acquire ownership of after the Policy begins.
5	Owned "Autos" Subject To No-fault	Only those "autos" you own that are required to have no-fault benefits in the state where they are licensed or principally garaged. This includes those "autos" you acquire ownership of after the Policy begins provided they are required to have no-fault benefits in the state where they are licensed or principally garaged.
6	Owned "Autos" Subject To A Compulsory Uninsured Motorists Law	Only those "autos" you own that because of the law in the state where they are licensed or principally garaged are required to have and cannot reject Uninsured Motorists Coverage. This includes those "autos" you acquire ownership of after the Policy begins provided they are subject to the same state uninsured motorists requirement.
7	Specifically Described "Autos"	Only those "autos" described in Item Three of the Declarations for which a premium charge is shown (and for Covered Autos Liability Coverage any "trailers" you don't own while attached to any power unit described in Item Three).
8	Hired "Autos" Only	Only those "autos" you lease, hire, rent or borrow. This does not include any "auto" you lease, hire, rent or borrow from any of your "employees", partners (if you are a partnership), members (if you are a limited liability company) or members of their households.
9	Non-owned "Autos" Only	Only those "autos" you do not own, lease, hire, rent or borrow that are used in connection with your business. This includes "autos" owned by your "employees", partners (if you are a partnership), members (if you are a limited liability company) or members of their households but only while used in your business or your personal affairs.

19	Mobile Equipment Subject To Compulsory Or Financial Responsibility Or Other Motor Vehicle Insurance Law Only	Only those "autos" that are land vehicles and that would qualify under the definition of "mobile equipment" under this Policy if they were not subject to a compulsory or financial responsibility law or other motor vehicle insurance law where they are licensed or principally garaged.
----	--	---

B. Owned Autos

1. If Symbols **1, 2, 3, 4, 5, 6** or **19** are entered next to a coverage in Item Two of the Declarations, then you have coverage for "autos" that you acquire after the policy period begins of the type described for the remainder of the policy period.
2. But, if Symbol **7** is entered next to a coverage in Item Two of the Declarations, an "auto" you acquire after the policy period begins will be a covered "auto" for that coverage only if:
 - a. We already cover all "autos" that you own for that coverage or it replaces an "auto" you previously owned that had that coverage; and
 - b. You tell us within 30 days after you acquire it that you want us to cover it for that coverage.
3. An "auto" that is leased or rented to you without a driver, under a written agreement for a continuous period of at least six months that requires you to provide primary insurance covering such "auto", will be considered a covered "auto" you own.

C. Certain Trailers, Mobile Equipment And Temporary Substitute Autos

If Covered Autos Liability Coverage is provided by this Coverage Form, the following types of vehicles are also covered "autos" for Covered Autos Liability Coverage:

1. "Trailers" with a registered Gross Vehicle Weight Rating of 3,000 pounds or less designed primarily for travel on public roads.
2. "Mobile equipment" while being carried or towed by a covered "auto".
3. Any "auto" you do not own while used with the permission of its owner as a temporary substitute for a covered "auto" you own that is out of service because of its:
 - a. Breakdown;

- b. Repair;
- c. Servicing;
- d. "Loss"; or
- e. Destruction.

SECTION II – COVERED AUTOS LIABILITY COVERAGE

A. Coverage

We will pay all sums an "insured" legally must pay as damages because of "bodily injury" or "property damage" to which this insurance applies, caused by an "accident" and resulting from the ownership, maintenance or use of a covered "auto".

We will also pay all sums an "insured" legally must pay as a "covered pollution cost or expense" to which this insurance applies, caused by an "accident" and resulting from the ownership, maintenance or use of covered "autos". However, we will only pay for the "covered pollution cost or expense" if there is either "bodily injury" or "property damage" to which this insurance applies that is caused by the same "accident".

We have the right and duty to defend any "insured" against a "suit" asking for such damages or a "covered pollution cost or expense". However, we have no duty to defend any "insured" against a "suit" seeking damages for "bodily injury" or "property damage" or a "covered pollution cost or expense" to which this insurance does not apply. We may investigate and settle any claim or "suit" as we consider appropriate. Our duty to defend or settle ends when the Covered Autos Liability Coverage Limit of Insurance has been exhausted by payment of judgments or settlements.

1. Who Is An Insured

The following are "insureds":

- a. You for any covered "auto".
- b. Anyone else while using with your permission a covered "auto" you own, hire or borrow except:
 - (1) The owner or anyone else from whom you hire or borrow a covered "auto".

This exception does not apply if the covered "auto" is a "trailer" connected to a covered "auto" you own.

- (2) Your "employee" if the covered "auto" is owned by that "employee" or a member of his or her household.
 - (3) Someone using a covered "auto" while he or she is working in a business of selling, servicing, repairing, parking or storing "autos" unless that business is yours.
 - (4) Anyone other than your "employees", partners (if you are a partnership), members (if you are a limited liability company) or a lessee or borrower or any of their "employees", while moving property to or from a covered "auto".
 - (5) A partner (if you are a partnership) or a member (if you are a limited liability company) for a covered "auto" owned by him or her or a member of his or her household.
- c. Anyone liable for the conduct of an "insured" described above but only to the extent of that liability.

2. Coverage Extensions

a. Supplementary Payments

We will pay for the "insured":

- (1) All expenses we incur.
- (2) Up to \$2,000 for cost of bail bonds (including bonds for related traffic law violations) required because of an "accident" we cover. We do not have to furnish these bonds.
- (3) The cost of bonds to release attachments in any "suit" against the "insured" we defend, but only for bond amounts within our Limit of Insurance.
- (4) All reasonable expenses incurred by the "insured" at our request, including actual loss of earnings up to \$250 a day because of time off from work.
- (5) All court costs taxed against the "insured" in any "suit" against the "insured" we defend. However, these payments do not include attorneys' fees or attorneys' expenses taxed against the "insured".

- (6) All interest on the full amount of any judgment that accrues after entry of the judgment in any "suit" against the "insured" we defend, but our duty to pay interest ends when we have paid, offered to pay or deposited in court the part of the judgment that is within our Limit of Insurance.

These payments will not reduce the Limit of Insurance.

b. Out-of-state Coverage Extensions

While a covered "auto" is away from the state where it is licensed, we will:

- (1) Increase the Limit of Insurance for Covered Autos Liability Coverage to meet the limits specified by a compulsory or financial responsibility law of the jurisdiction where the covered "auto" is being used. This extension does not apply to the limit or limits specified by any law governing motor carriers of passengers or property.
- (2) Provide the minimum amounts and types of other coverages, such as no-fault, required of out-of-state vehicles by the jurisdiction where the covered "auto" is being used.

We will not pay anyone more than once for the same elements of loss because of these extensions.

B. Exclusions

This insurance does not apply to any of the following:

1. Expected Or Intended Injury

"Bodily injury" or "property damage" expected or intended from the standpoint of the "insured".

2. Contractual

Liability assumed under any contract or agreement.

But this exclusion does not apply to liability for damages:

- a. Assumed in a contract or agreement that is an "insured contract", provided the "bodily injury" or "property damage" occurs subsequent to the execution of the contract or agreement; or

- b. That the "insured" would have in the absence of the contract or agreement.

3. Workers' Compensation

Any obligation for which the "insured" or the "insured's" insurer may be held liable under any workers' compensation, disability benefits or unemployment compensation law or any similar law.

4. Employee Indemnification And Employer's Liability

"Bodily injury" to:

- a. An "employee" of the "insured" arising out of and in the course of:
 - (1) Employment by the "insured"; or
 - (2) Performing the duties related to the conduct of the "insured's" business; or
- b. The spouse, child, parent, brother or sister of that "employee" as a consequence of Paragraph **a.** above.

This exclusion applies:

- (1) Whether the "insured" may be liable as an employer or in any other capacity; and
- (2) To any obligation to share damages with or repay someone else who must pay damages because of the injury.

But this exclusion does not apply to "bodily injury" to domestic "employees" not entitled to workers' compensation benefits or to liability assumed by the "insured" under an "insured contract". For the purposes of the Coverage Form, a domestic "employee" is a person engaged in household or domestic work performed principally in connection with a residence premises.

5. Fellow Employee

"Bodily injury" to:

- a. Any fellow "employee" of the "insured" arising out of and in the course of the fellow "employee's" employment or while performing duties related to the conduct of your business; or
- b. The spouse, child, parent, brother or sister of that fellow "employee" as a consequence of Paragraph **a.** above.

6. Care, Custody Or Control

"Property damage" to or "covered pollution cost or expense" involving property owned or transported by the "insured" or in the "insured's" care, custody or control. But this exclusion does not apply to liability assumed under a sidetrack agreement.

7. Handling Of Property

"Bodily injury" or "property damage" resulting from the handling of property:

- a. Before it is moved from the place where it is accepted by the "insured" for movement into or onto the covered "auto"; or
- b. After it is moved from the covered "auto" to the place where it is finally delivered by the "insured".

8. Movement Of Property By Mechanical Device

"Bodily injury" or "property damage" resulting from the movement of property by a mechanical device (other than a hand truck) unless the device is attached to the covered "auto".

9. Operations

"Bodily injury" or "property damage" arising out of the operation of:

- a. Any equipment listed in Paragraphs **6.b.** and **6.c.** of the definition of "mobile equipment"; or
- b. Machinery or equipment that is on, attached to or part of a land vehicle that would qualify under the definition of "mobile equipment" if it were not subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged.

10. Completed Operations

"Bodily injury" or "property damage" arising out of your work after that work has been completed or abandoned.

In this exclusion, your work means:

- a. Work or operations performed by you or on your behalf; and
- b. Materials, parts or equipment furnished in connection with such work or operations.

Your work includes warranties or representations made at any time with respect to the fitness, quality, durability or performance of any of the items included in Paragraph **a.** or **b.** above.

Your work will be deemed completed at the earliest of the following times:

- (1) When all of the work called for in your contract has been completed;
- (2) When all of the work to be done at the site has been completed if your contract calls for work at more than one site; or

- (3) When that part of the work done at a job site has been put to its intended use by any person or organization other than another contractor or subcontractor working on the same project.

Work that may need service, maintenance, correction, repair or replacement, but which is otherwise complete, will be treated as completed.

11. Pollution

"Bodily injury" or "property damage" arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants":

- a. That are, or that are contained in any property that is:
- (1) Being transported or towed by, handled or handled for movement into, onto or from the covered "auto";
 - (2) Otherwise in the course of transit by or on behalf of the "insured"; or
 - (3) Being stored, disposed of, treated or processed in or upon the covered "auto";
- b. Before the "pollutants" or any property in which the "pollutants" are contained are moved from the place where they are accepted by the "insured" for movement into or onto the covered "auto"; or
- c. After the "pollutants" or any property in which the "pollutants" are contained are moved from the covered "auto" to the place where they are finally delivered, disposed of or abandoned by the "insured".

Paragraph a. above does not apply to fuels, lubricants, fluids, exhaust gases or other similar "pollutants" that are needed for or result from the normal electrical, hydraulic or mechanical functioning of the covered "auto" or its parts if:

- (1) The "pollutants" escape, seep, migrate or are discharged, dispersed or released directly from an "auto" part designed by its manufacturer to hold, store, receive or dispose of such "pollutants"; and
- (2) The "bodily injury", "property damage" or "covered pollution cost or expense" does not arise out of the operation of any equipment listed in Paragraphs 6.b. and 6.c. of the definition of "mobile equipment".

Paragraphs b. and c. above of this exclusion do not apply to "accidents" that occur away from premises owned by or rented to an "insured" with respect to "pollutants" not in or upon a covered "auto" if:

- (a) The "pollutants" or any property in which the "pollutants" are contained are upset, overturned or damaged as a result of the maintenance or use of a covered "auto"; and
- (b) The discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused directly by such upset, overturn or damage.

12. War

"Bodily injury" or "property damage" arising directly or indirectly out of:

- a. War, including undeclared or civil war;
- b. Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- c. Insurrection, rebellion, revolution, usurped power or action taken by governmental authority in hindering or defending against any of these.

13. Racing

Covered "autos" while used in any professional or organized racing or demolition contest or stunting activity, or while practicing for such contest or activity. This insurance also does not apply while that covered "auto" is being prepared for such a contest or activity.

14. Unmanned Aircraft

"Bodily injury" or "property damage" arising out of the ownership, maintenance or use of "unmanned aircraft".

C. Limit Of Insurance

Regardless of the number of covered "autos", "insureds", premiums paid, claims made or vehicles involved in the "accident", the most we will pay for the total of all damages and "covered pollution cost or expense" combined resulting from any one "accident" is the Limit Of Insurance for Covered Autos Liability Coverage shown in the Declarations.

All "bodily injury", "property damage" and "covered pollution cost or expense" resulting from continuous or repeated exposure to substantially the same conditions will be considered as resulting from one "accident".

No one will be entitled to receive duplicate payments for the same elements of "loss" under this Coverage Form and any Medical Payments Coverage endorsement, Uninsured Motorists Coverage endorsement or Underinsured Motorists Coverage endorsement attached to this Coverage Part.

SECTION III – PHYSICAL DAMAGE COVERAGE

A. Coverage

1. We will pay for "loss" to a covered "auto" or its equipment under:

- a. **Comprehensive Coverage**

From any cause except:

- (1) The covered "auto's" collision with another object; or
 - (2) The covered "auto's" overturn.

- b. **Specified Causes Of Loss Coverage**

Caused by:

- (1) Fire, lightning or explosion;
 - (2) Theft;
 - (3) Windstorm, hail or earthquake;
 - (4) Flood;
 - (5) Mischief or vandalism; or
 - (6) The sinking, burning, collision or derailment of any conveyance transporting the covered "auto".

- c. **Collision Coverage**

Caused by:

- (1) The covered "auto's" collision with another object; or
 - (2) The covered "auto's" overturn.

2. **Towing And Labor**

We will pay up to the limit shown in the Declarations for towing and labor costs incurred each time a covered "auto" that is a private passenger type, light truck or medium truck is disabled. However, the labor must be performed at the place of disablement.

3. **Glass Breakage – Hitting A Bird Or Animal – Falling Objects Or Missiles**

If you carry Comprehensive Coverage for the damaged covered "auto", we will pay for the following under Comprehensive Coverage:

- a. Glass breakage;
 - b. "Loss" caused by hitting a bird or animal; and
 - c. "Loss" caused by falling objects or missiles.

However, you have the option of having glass breakage caused by a covered "auto's" collision or overturn considered a "loss" under Collision Coverage.

4. **Coverage Extensions**

- a. **Transportation Expenses**

We will pay up to \$30 per day, to a maximum of \$900, for temporary transportation expense incurred by you because of the total theft of a covered "auto" of the private passenger type. We will pay only for those covered "autos" for which you carry either Comprehensive or Specified Causes Of Loss Coverage. We will pay for temporary transportation expenses incurred during the period beginning 48 hours after the theft and ending, regardless of the Policy's expiration, when the covered "auto" is returned to use or we pay for its "loss".

- b. **Loss Of Use Expenses**

For Hired Auto Physical Damage, we will pay expenses for which an "insured" becomes legally responsible to pay for loss of use of a vehicle rented or hired without a driver under a written rental contract or agreement. We will pay for loss of use expenses if caused by:

- (1) Other than collision only if the Declarations indicates that Comprehensive Coverage is provided for any covered "auto";
 - (2) Specified Causes of Loss only if the Declarations indicates that Specified Causes Of Loss Coverage is provided for any covered "auto"; or

- (3) Collision only if the Declarations indicates that Collision Coverage is provided for any covered "auto".

However, the most we will pay for any expenses for loss of use is \$30 per day, to a maximum of \$900.

B. Exclusions

1. We will not pay for "loss" caused by or resulting from any of the following. Such "loss" is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the "loss".

a. Nuclear Hazard

- (1) The explosion of any weapon employing atomic fission or fusion; or
- (2) Nuclear reaction or radiation, or radioactive contamination, however caused.

b. War Or Military Action

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power or action taken by governmental authority in hindering or defending against any of these.

2. We will not pay for "loss" to any covered "auto" while used in any professional or organized racing or demolition contest or stunting activity, or while practicing for such contest or activity. We will also not pay for "loss" to any covered "auto" while that covered "auto" is being prepared for such a contest or activity.

3. We will not pay for "loss" due and confined to:
- a. Wear and tear, freezing, mechanical or electrical breakdown.
- b. Blowouts, punctures or other road damage to tires.

This exclusion does not apply to such "loss" resulting from the total theft of a covered "auto".

4. We will not pay for "loss" to any of the following:

- a. Tapes, records, discs or other similar audio, visual or data electronic devices designed for use with audio, visual or data electronic equipment.
- b. Any device designed or used to detect speed-measuring equipment, such as radar or laser detectors, and any jamming apparatus intended to elude or disrupt speed-measuring equipment.
- c. Any electronic equipment, without regard to whether this equipment is permanently installed, that reproduces, receives or transmits audio, visual or data signals.
- d. Any accessories used with the electronic equipment described in Paragraph c. above.

5. Exclusions 4.c. and 4.d. do not apply to equipment designed to be operated solely by use of the power from the "auto's" electrical system that, at the time of "loss", is:

- a. Permanently installed in or upon the covered "auto";
- b. Removable from a housing unit which is permanently installed in or upon the covered "auto";
- c. An integral part of the same unit housing any electronic equipment described in Paragraphs a. and b. above; or
- d. Necessary for the normal operation of the covered "auto" or the monitoring of the covered "auto's" operating system.

6. We will not pay for "loss" to a covered "auto" due to "diminution in value".

C. Limits Of Insurance

1. The most we will pay for:

- a. "Loss" to any one covered "auto" is the lesser of:
- (1) The actual cash value of the damaged or stolen property as of the time of the "loss"; or
- (2) The cost of repairing or replacing the damaged or stolen property with other property of like kind and quality.

- b. All electronic equipment that reproduces, receives or transmits audio, visual or data signals in any one "loss" is \$1,000, if, at the time of "loss", such electronic equipment is:

- (1) Permanently installed in or upon the covered "auto" in a housing, opening or other location that is not normally used by the "auto" manufacturer for the installation of such equipment;
- (2) Removable from a permanently installed housing unit as described in Paragraph b.(1) above; or
- (3) An integral part of such equipment as described in Paragraphs b.(1) and b.(2) above.

- 2. An adjustment for depreciation and physical condition will be made in determining actual cash value in the event of a total "loss".
- 3. If a repair or replacement results in better than like kind or quality, we will not pay for the amount of the betterment.

D. Deductible

For each covered "auto", our obligation to pay for, repair, return or replace damaged or stolen property will be reduced by the applicable deductible shown in the Declarations prior to the application of the Limit Of Insurance, provided that:

- 1. The Comprehensive or Specified Causes Of Loss Coverage deductible applies only to "loss" caused by:
 - a. Theft or mischief or vandalism; or
 - b. All perils.
- 2. Regardless of the number of covered "autos" damaged or stolen, the maximum deductible applicable for all "loss" in any one event caused by:
 - a. Theft or mischief or vandalism; or
 - b. All perils,

will be equal to five times the highest deductible applicable to any one covered "auto" on the Policy for Comprehensive or Specified Causes Of Loss Coverage. The application of the highest deductible used to calculate the maximum deductible will be made regardless of which covered "autos" were damaged or stolen in the "loss".

SECTION IV – BUSINESS AUTO CONDITIONS

The following conditions apply in addition to the Common Policy Conditions:

A. Loss Conditions

1. Appraisal For Physical Damage Loss

If you and we disagree on the amount of "loss", either may demand an appraisal of the "loss". In this event, each party will select a competent appraiser. The two appraisers will select a competent and impartial umpire. The appraisers will state separately the actual cash value and amount of "loss". If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If we submit to an appraisal, we will still retain our right to deny the claim.

2. Duties In The Event Of Accident, Claim, Suit Or Loss

We have no duty to provide coverage under this Policy unless there has been full compliance with the following duties:

- a. In the event of "accident", claim, "suit" or "loss", you must give us or our authorized representative prompt notice of the "accident" or "loss". Include:
 - (1) How, when and where the "accident" or "loss" occurred;
 - (2) The "insured's" name and address; and
 - (3) To the extent possible, the names and addresses of any injured persons and witnesses.
- b. Additionally, you and any other involved "insured" must:
 - (1) Assume no obligation, make no payment or incur no expense without our consent, except at the "insured's" own cost.
 - (2) Immediately send us copies of any request, demand, order, notice, summons or legal paper received concerning the claim or "suit".

- (3) Cooperate with us in the investigation or settlement of the claim or defense against the "suit".
- (4) Authorize us to obtain medical records or other pertinent information.
- (5) Submit to examination, at our expense, by physicians of our choice, as often as we reasonably require.

c. If there is "loss" to a covered "auto" or its equipment, you must also do the following:

- (1) Promptly notify the police if the covered "auto" or any of its equipment is stolen.
- (2) Take all reasonable steps to protect the covered "auto" from further damage. Also keep a record of your expenses for consideration in the settlement of the claim.
- (3) Permit us to inspect the covered "auto" and records proving the "loss" before its repair or disposition.
- (4) Agree to examinations under oath at our request and give us a signed statement of your answers.

3. Legal Action Against Us

No one may bring a legal action against us under this Coverage Form until:

- a. There has been full compliance with all the terms of this Coverage Form; and
- b. Under Covered Autos Liability Coverage, we agree in writing that the "insured" has an obligation to pay or until the amount of that obligation has finally been determined by judgment after trial. No one has the right under this Policy to bring us into an action to determine the "insured's" liability.

4. Loss Payment – Physical Damage Coverages

At our option, we may:

- a. Pay for, repair or replace damaged or stolen property;
- b. Return the stolen property, at our expense. We will pay for any damage that results to the "auto" from the theft; or
- c. Take all or any part of the damaged or stolen property at an agreed or appraised value.

If we pay for the "loss", our payment will include the applicable sales tax for the damaged or stolen property.

5. Transfer Of Rights Of Recovery Against Others To Us

If any person or organization to or for whom we make payment under this Coverage Form has rights to recover damages from another, those rights are transferred to us. That person or organization must do everything necessary to secure our rights and must do nothing after "accident" or "loss" to impair them.

B. General Conditions

1. Bankruptcy

Bankruptcy or insolvency of the "insured" or the "insured's" estate will not relieve us of any obligations under this Coverage Form.

2. Concealment, Misrepresentation Or Fraud

This Coverage Form is void in any case of fraud by you at any time as it relates to this Coverage Form. It is also void if you or any other "insured", at any time, intentionally conceals or misrepresents a material fact concerning:

- a. This Coverage Form;
- b. The covered "auto";
- c. Your interest in the covered "auto"; or
- d. A claim under this Coverage Form.

3. Liberalization

If we revise this Coverage Form to provide more coverage without additional premium charge, your policy will automatically provide the additional coverage as of the day the revision is effective in your state.

4. No Benefit To Bailee – Physical Damage Coverages

We will not recognize any assignment or grant any coverage for the benefit of any person or organization holding, storing or transporting property for a fee regardless of any other provision of this Coverage Form.

5. Other Insurance

a. For any covered "auto" you own, this Coverage Form provides primary insurance. For any covered "auto" you don't own, the insurance provided by this Coverage Form is excess over any other collectible insurance. However, while a covered "auto" which is a "trailer" is connected to another vehicle, the Covered Autos Liability Coverage this Coverage Form provides for the "trailer" is:

- (1) Excess while it is connected to a motor vehicle you do not own; or

(2) Primary while it is connected to a covered "auto" you own.

- b. For Hired Auto Physical Damage Coverage, any covered "auto" you lease, hire, rent or borrow is deemed to be a covered "auto" you own. However, any "auto" that is leased, hired, rented or borrowed with a driver is not a covered "auto".
- c. Regardless of the provisions of Paragraph a. above, this Coverage Form's Covered Autos Liability Coverage is primary for any liability assumed under an "insured contract".
- d. When this Coverage Form and any other Coverage Form or policy covers on the same basis, either excess or primary, we will pay only our share. Our share is the proportion that the Limit of Insurance of our Coverage Form bears to the total of the limits of all the Coverage Forms and policies covering on the same basis.

6. Premium Audit

- a. The estimated premium for this Coverage Form is based on the exposures you told us you would have when this Policy began. We will compute the final premium due when we determine your actual exposures. The estimated total premium will be credited against the final premium due and the first Named Insured will be billed for the balance, if any. The due date for the final premium or retrospective premium is the date shown as the due date on the bill. If the estimated total premium exceeds the final premium due, the first Named Insured will get a refund.
- b. If this Policy is issued for more than one year, the premium for this Coverage Form will be computed annually based on our rates or premiums in effect at the beginning of each year of the Policy.

7. Policy Period, Coverage Territory

Under this Coverage Form, we cover "accidents" and "losses" occurring:

- a. During the policy period shown in the Declarations; and
- b. Within the coverage territory.

The coverage territory is:

- (1) The United States of America;
- (2) The territories and possessions of the United States of America;
- (3) Puerto Rico;
- (4) Canada; and

- (5) Anywhere else in the world if a covered "auto" of the private passenger type is leased, hired, rented or borrowed without a driver for a period of 30 days or less,

provided that the "insured's" responsibility to pay damages is determined in a "suit" on the merits, in the United States of America, the territories and possessions of the United States of America, Puerto Rico or Canada, or in a settlement we agree to.

We also cover "loss" to, or "accidents" involving, a covered "auto" while being transported between any of these places.

8. Two Or More Coverage Forms Or Policies Issued By Us

If this Coverage Form and any other Coverage Form or policy issued to you by us or any company affiliated with us applies to the same "accident", the aggregate maximum Limit of Insurance under all the Coverage Forms or policies shall not exceed the highest applicable Limit of Insurance under any one Coverage Form or policy. This condition does not apply to any Coverage Form or policy issued by us or an affiliated company specifically to apply as excess insurance over this Coverage Form.

SECTION V – DEFINITIONS

A. "Accident" includes continuous or repeated exposure to the same conditions resulting in "bodily injury" or "property damage".

B. "Auto" means:

- 1. A land motor vehicle, "trailer" or semitrailer designed for travel on public roads; or
- 2. Any other land vehicle that is subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged.

However, "auto" does not include "mobile equipment".

C. "Bodily injury" means bodily injury, sickness or disease sustained by a person, including death resulting from any of these.

D. "Covered pollution cost or expense" means any cost or expense arising out of:

- 1. Any request, demand, order or statutory or regulatory requirement that any "insured" or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or

2. Any claim or "suit" by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

"Covered pollution cost or expense" does not include any cost or expense arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants":

- a. That are, or that are contained in any property that is:
 - (1) Being transported or towed by, handled or handled for movement into, onto or from the covered "auto";
 - (2) Otherwise in the course of transit by or on behalf of the "insured"; or
 - (3) Being stored, disposed of, treated or processed in or upon the covered "auto";
- b. Before the "pollutants" or any property in which the "pollutants" are contained are moved from the place where they are accepted by the "insured" for movement into or onto the covered "auto"; or
- c. After the "pollutants" or any property in which the "pollutants" are contained are moved from the covered "auto" to the place where they are finally delivered, disposed of or abandoned by the "insured".

Paragraph a. above does not apply to fuels, lubricants, fluids, exhaust gases or other similar "pollutants" that are needed for or result from the normal electrical, hydraulic or mechanical functioning of the covered "auto" or its parts, if:

- (1) The "pollutants" escape, seep, migrate or are discharged, dispersed or released directly from an "auto" part designed by its manufacturer to hold, store, receive or dispose of such "pollutants"; and
- (2) The "bodily injury", "property damage" or "covered pollution cost or expense" does not arise out of the operation of any equipment listed in Paragraph 6.b. or 6.c. of the definition of "mobile equipment".

Paragraphs b. and c. above do not apply to "accidents" that occur away from premises owned by or rented to an "insured" with respect to "pollutants" not in or upon a covered "auto" if:

- (a) The "pollutants" or any property in which the "pollutants" are contained are upset, overturned or damaged as a result of the maintenance or use of a covered "auto"; and
 - (b) The discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused directly by such upset, overturn or damage.
- E. "Diminution in value" means the actual or perceived loss in market value or resale value which results from a direct and accidental "loss".
 - F. "Employee" includes a "leased worker". "Employee" does not include a "temporary worker".
 - G. "Insured" means any person or organization qualifying as an insured in the Who Is An Insured provision of the applicable coverage. Except with respect to the Limit of Insurance, the coverage afforded applies separately to each insured who is seeking coverage or against whom a claim or "suit" is brought.
 - H. "Insured contract" means:
 - 1. A lease of premises;
 - 2. A sidetrack agreement;
 - 3. Any easement or license agreement, except in connection with construction or demolition operations on or within 50 feet of a railroad;
 - 4. An obligation, as required by ordinance, to indemnify a municipality, except in connection with work for a municipality;
 - 5. That part of any other contract or agreement pertaining to your business (including an indemnification of a municipality in connection with work performed for a municipality) under which you assume the tort liability of another to pay for "bodily injury" or "property damage" to a third party or organization. Tort liability means a liability that would be imposed by law in the absence of any contract or agreement; or

6. That part of any contract or agreement entered into, as part of your business, pertaining to the rental or lease, by you or any of your "employees", of any "auto". However, such contract or agreement shall not be considered an "insured contract" to the extent that it obligates you or any of your "employees" to pay for "property damage" to any "auto" rented or leased by you or any of your "employees".

An "insured contract" does not include that part of any contract or agreement:

- a. That indemnifies a railroad for "bodily injury" or "property damage" arising out of construction or demolition operations, within 50 feet of any railroad property and affecting any railroad bridge or trestle, tracks, roadbeds, tunnel, underpass or crossing;
 - b. That pertains to the loan, lease or rental of an "auto" to you or any of your "employees", if the "auto" is loaned, leased or rented with a driver; or
 - c. That holds a person or organization engaged in the business of transporting property by "auto" for hire harmless for your use of a covered "auto" over a route or territory that person or organization is authorized to serve by public authority.
- I. "Leased worker" means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm to perform duties related to the conduct of your business. "Leased worker" does not include a "temporary worker".
- J. "Loss" means direct and accidental loss or damage.
- K. "Mobile equipment" means any of the following types of land vehicles, including any attached machinery or equipment:
- 1. Bulldozers, farm machinery, forklifts and other vehicles designed for use principally off public roads;
 - 2. Vehicles maintained for use solely on or next to premises you own or rent;
 - 3. Vehicles that travel on crawler treads;
 - 4. Vehicles, whether self-propelled or not, maintained primarily to provide mobility to permanently mounted:
 - a. Power cranes, shovels, loaders, diggers or drills; or
 - b. Road construction or resurfacing equipment such as graders, scrapers or rollers;

5. Vehicles not described in Paragraph 1., 2., 3. or 4. above that are not self-propelled and are maintained primarily to provide mobility to permanently attached equipment of the following types:

- a. Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well-servicing equipment; or
- b. Cherry pickers and similar devices used to raise or lower workers; or

6. Vehicles not described in Paragraph 1., 2., 3. or 4. above maintained primarily for purposes other than the transportation of persons or cargo. However, self-propelled vehicles with the following types of permanently attached equipment are not "mobile equipment" but will be considered "autos":

- a. Equipment designed primarily for:

- (1) Snow removal;
- (2) Road maintenance, but not construction or resurfacing; or
- (3) Street cleaning;

- b. Cherry pickers and similar devices mounted on automobile or truck chassis and used to raise or lower workers; and

- c. Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting or well-servicing equipment.

However, "mobile equipment" does not include land vehicles that are subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged. Land vehicles subject to a compulsory or financial responsibility law or other motor vehicle insurance law are considered "autos".

- L. "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

- M. "Property damage" means damage to or loss of use of tangible property.

- N. "Suit" means a civil proceeding in which:

- 1. Damages because of "bodily injury" or "property damage"; or
 - 2. A "covered pollution cost or expense";
- to which this insurance applies, are alleged.

"Suit" includes:

- a. An arbitration proceeding in which such damages or "covered pollution costs or expenses" are claimed and to which the "insured" must submit or does submit with our consent; or
- b. Any other alternative dispute resolution proceeding in which such damages or "covered pollution costs or expenses" are claimed and to which the insured submits with our consent.

O. "Temporary worker" means a person who is furnished to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions.

P. "Trailer" includes semitrailer.

Q. "Unmanned aircraft" means an aircraft that is not:

- 1. Designed;
- 2. Manufactured; or
- 3. Modified after manufacture;

to be controlled directly by a person from within or on the aircraft.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NORTH CAROLINA CHANGES

For a covered "auto" licensed or principally garaged in, or "auto dealer operations" conducted in, North Carolina, this endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

A. Changes In Covered Autos Liability Coverage

1. The Covered Autos Liability Limit of Insurance applies except that we will apply the limit shown in the Declarations to first provide the separate limits required by North Carolina law as follows:
 - a. \$50,000 for "bodily injury" to any one person caused by any one "accident";
 - b. \$100,000 for "bodily injury" to two or more persons caused by any one "accident"; and
 - c. \$50,000 for "property damage" caused by any one "accident".

This provision will not change the Limit of Insurance.

2. If the policy provides Covered Autos Liability Coverage only for owned "autos", a temporary substitute for one of these will also be considered a covered "auto", subject to the following provisions:
 - a. The owned "auto" must be out of service because of its breakdown, repair, servicing, loss or destruction.
 - b. The temporary substitute must be owned by someone other than you or a member of your household.
 - c. The temporary substitute must be with the permission of the owner.
 - d. The Covered Autos Liability Coverage for the temporary substitute is excess over any other collectible insurance.

B. Changes In Physical Damage Coverage

Paragraph **A.3. Glass Breakage – Hitting A Bird Or Animal – Falling Objects Or Missiles** in the Business Auto and Motor Carrier Coverage Forms and Paragraph **F.1.b. Glass Breakage – Hitting A Bird Or Animal – Falling Objects Or Missiles** in the Auto Dealers Coverage Form are replaced by the following:

Glass Breakage – Hitting A Bird Or Animal – Falling Objects Or Missiles

If you carry Comprehensive Coverage for the damaged covered "auto", we will pay for the following under Comprehensive Coverage:

- a. Glass breakage;
- b. "Loss" caused by hitting a bird or animal; and
- c. "Loss" caused by falling objects or missiles.

However, you have the option of having glass breakage caused by the covered "auto's" collision or overturn and "loss" caused by hitting a bird or animal considered a "loss" under Collision Coverage.

C. Changes In Uninsured Motorists Coverage

The Limit of Insurance applies except that we will apply the limit shown in the Declarations to first provide the separate limits required by North Carolina law as follows:

1. \$50,000 for "bodily injury" to any one person caused by any one "accident";

2. \$100,000 for "bodily injury" to two or more persons caused by any one "accident"; and
3. \$50,000 for "property damage" caused by any one "accident".

This provision will not change the total Limit of Insurance.

D. Changes In Auto Medical Payments Coverage

If the Auto Medical Payments Coverage endorsement is attached, then Exclusion **C.5.** relating to "bodily injury" to an "insured" while working in a business of selling, servicing, repairing or parking "autos", applies only if workers' compensation benefits are available.

E. Changes In Garagekeepers Coverage

If the policy provides Garagekeepers Coverage, any deductible will apply only to the amount of "loss" and will not reduce the Limit of Insurance.

F. Changes In Conditions

1. Paragraph 2. of the **Cancellation** Common Policy Condition is replaced by the following:

2. We may cancel any type or limit of coverage provided by this policy to the extent that it cannot be ceded to the North Carolina Reinsurance Facility as follows:

a. If this policy has been in effect for less than 60 days, we may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least:

- (1) 15 days before the effective date of cancellation if we cancel for nonpayment of premium; or
- (2) 30 days before the effective date of cancellation if we cancel for any other reason.

b. If this policy has been in effect for 60 days or more, or is a renewal of a policy we issued, we may cancel this policy prior to the:

- (1) Expiration of the policy term; or
- (2) Anniversary date;

stated in the policy only for one or more of the following reasons:

(a) Nonpayment of premium. Cancellation for nonpayment of premium is not effective if the amount due is paid before the effective date set forth in the notice of cancellation.

- (b) An act or omission by the "insured" or his or her representative that constitutes material misrepresentation or nondisclosure of a material fact in obtaining this policy, continuing this policy, or presenting a claim under this policy.
- (c) Increased hazard or material change in the risk assumed that could not have been reasonably contemplated by the parties at the time of assumption of the risk.
- (d) Substantial breach of contractual duties, conditions or warranties that materially affects the insurability of the risk.
- (e) A fraudulent act against us by the "insured" or his or her representative that materially affects the insurability of the risk.
- (f) Willful failure by the "insured" or his or her representative to institute reasonable loss control measures that materially affect the insurability of the risk after written notice by us.
- (g) Loss of facultative reinsurance, or loss of or substantial changes in applicable reinsurance as provided in G.S. 58-41-30.
- (h) Conviction of the "insured" of a crime arising out of acts that materially affect the insurability of the risk.
- (i) A determination by the Commissioner of Insurance that the continuation of the policy would place us in violation of the laws of North Carolina.
- (j) You fail to meet the requirements contained in our corporate charter, articles of incorporation, or bylaws, when we are a company organized for the sole purpose of providing members of an organization with insurance coverage in North Carolina.

We may cancel any type or limit of coverage provided by the policy to the extent that it can be ceded to the North Carolina Reinsurance Facility only for one or more of the following reasons by mailing to the first Named Insured at least 15 days' notice at the last address known to us:

- (1) Nonpayment of premium.
- (2) You become a nonresident of North Carolina and are not otherwise entitled to insurance through the Reinsurance Facility.
- (3) Our contract with the agent through whom this policy is written is terminated for reasons other than the quality of the agent's "insureds".
- (4) This policy is cancelled pursuant to a power of attorney given a company licensed according to the provisions of G.S. 58-56.

2. To the extent that any type or limit of coverage provided by this policy cannot be ceded to the North Carolina Reinsurance facility, the following provision is added and supersedes any other provisions to the contrary:

Nonrenewal

- a. If we elect not to renew this policy, we will mail or deliver to the first Named Insured shown in the Declarations written notice of nonrenewal at least 45 days prior to the:

- (1) Expiration of the policy if it has been written for one year or less; or
- (2) Anniversary date if it is a continuous policy or has been written for more than one year or for an indefinite term.

- b. We need not mail or deliver the notice of nonrenewal if you have:

- (1) Insured property covered under this policy under any other insurance policy;
- (2) Accepted replacement coverage; or
- (3) Requested or agreed to nonrenewal of this policy.

- c. If notice is mailed, proof of mailing will be sufficient proof of notice.

- d. The written notice of cancellation or nonrenewal will:

- (1) Be mailed or delivered to the first Named Insured and any designated loss payee at their addresses shown in the policy, or if not indicated in the policy, at their last known addresses; and
- (2) State the reason or reasons for cancellation or nonrenewal.

3. To the extent that any type or limit of coverage provided by this policy can be ceded to the North Carolina Reinsurance Facility, the following provision is added and supersedes any other provision to the contrary:

Nonrenewal

We may nonrenew this policy only for one or more of the following reasons:

- a. Nonpayment of premium.
- b. You become a nonresident of North Carolina and are not otherwise entitled to insurance through the Reinsurance facility.
- c. Our contract with the agent through whom this policy is written is terminated for reasons other than the quality of the agent's "insureds".
- d. This policy is cancelled pursuant to a power of attorney given a company licensed according to the provisions of G.S. 58-56.
- e. You fail to meet the requirements contained in our corporate charter, articles of incorporation, or bylaws, when we are a company organized for the sole purpose of providing members of an organization with insurance coverage in North Carolina.

4. Common Policy Condition **B. Changes** is changed to read as follows:

This policy contains all the agreements between you and us. Its terms may not be changed or waived except by endorsement issued by us. If a change requires a premium adjustment, we will adjust the premium for that change as of the effective date of change. If we revise this policy form to provide more coverage without additional premium charge, your policy will automatically provide the additional coverage as of the day the revision is effective in your state.

5. Loss Condition 1. Appraisal For Physical Damage Loss is replaced by the following:

1. Appraisal For Physical Damage Loss

If you and we disagree on the amount of "loss", either may demand an appraisal of the "loss". In this event, each party will select a competent appraiser. The two appraisers will select a competent and impartial umpire. The appraisers will state separately the actual cash value and amount of "loss". If they fail to agree, they will submit their differences to the umpire. A decision, in writing, agreed to by any two will be binding. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If we submit to an appraisal, we will still retain our right to deny the claim.

6. The following is added to Loss Conditions:

Appraisal For Property Damage

In the event of an "accident":

1. If the claimant and we fail to agree as to the difference in fair market value of the motor vehicle immediately before and immediately after the "accident" and the difference in the claimant's and our estimate of the diminution in fair market value of the vehicle is greater than \$2,000 or 25% of the fair market retail value of the vehicle prior to the "accident" as determined by the latest edition of the National Automobile Dealers Association Pricing Guide Book or other publications approved by the Commissioner of Insurance, whichever is less; and
2. Liability for coverage for the claim is not in dispute;

then on the written demand of either the claimant or us, each shall select a competent and disinterested appraiser and notify the other of the appraiser selected within 20 days after the demand.

Should the appraisers fail to agree, they shall then select a competent and disinterested appraiser to serve as an umpire. If the appraisers cannot agree upon an umpire within 15 days, either the claimant or we may request that a magistrate resident in the county where the insured motor vehicle is registered or the county where the "accident" occurred select the umpire.

The umpire then shall prepare a report determining the amount of "property damage" and shall file the report with us and the claimant.

The claimant or we shall have 15 days from the filing of the report to reject the report and notify the other party of such rejection. If the report is not rejected within 15 days from the filing of the report, the report shall be binding upon both the claimant and us.

Each appraiser shall be paid by the party selecting the appraiser, and the expenses of appraisal and umpire shall be paid by the parties equally.

If either party elects to have an appraisal to determine the amount of "property damage", then the amount of "property damage" cannot be decided through arbitration.

7. Paragraph 2. of the Concealment, Misrepresentation Or Fraud General Conditions is amended by the addition of the following:

This condition does not apply for coverage up to the minimum limits of liability required by the North Carolina Financial Responsibility Act of 1957.

COMMERCIAL AUTO
CA 04 21 11 20

FULL SAFETY GLASS COVERAGE

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

This endorsement changes the Policy effective on the inception date of the Policy unless another date is indicated below.

Endorsement Effective Date:

Designation Or Description Of Covered "Autos" To Which This Insurance Applies
Enter an "X" in only one of the following check boxes:

- ☐ All covered "autos"
 - ☐ All covered "autos" of the private passenger type
 - ☐ Each covered "auto" described below:

Physical Damage Coverage is modified as follows:
Paragraph **D. Deductible** in the Business Auto and Motor Carrier Coverage Forms and Paragraph **F.5. Deductible** in the Auto Dealers Coverage Form are amended by the addition of the following:

Additionally, if the Declarations indicates that Comprehensive Coverage applies, no Comprehensive Coverage deductible applies to the cost of repairing or replacing damaged safety glass on the covered "auto(s)" described in the Schedule.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NON-OWNERSHIP LIABILITY COVERAGE FOR VOLUNTEERS

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

This endorsement changes the Policy effective on the inception date of the Policy unless another date is indicated below.

Named Insured:

Endorsement Effective Date:

SCHEDULE

Description Of Covered Volunteer Activity(ies):

Information required to complete this Schedule, if not shown above, will be shown in the Declarations.

A. Changes In Covered Autos Liability Coverage

1. The following is added to **Who Is An Insured:**

Any "volunteer" is an "insured" while he or she is:

- a.** Engaged in the specified activity(ies) described in the Schedule; or
- b.** Acting on your behalf, if no activity is described in the Schedule;

and using a covered "auto" you don't own, hire or borrow. Anyone else who furnishes that "auto" to a "volunteer" is also an "insured", but only to the extent of liability arising out of the activities described in preceding Paragraphs **a.** and **b.**

2. The following exclusion is added:

This insurance does not apply to:

Volunteer Injury

"Bodily injury" to:

- a.** Any "volunteer" or any fellow "volunteer" of the "insured", if sustained while such "volunteer" is:
 - (1)** Engaged in the specified activity(ies) described in the Schedule; or
 - (2)** Acting on your behalf, if no activity is described in the Schedule.
- b.** The spouse, child, parent, brother or sister of that "volunteer" as a consequence of Paragraph **2.a.**

B. Additional Definitions

As used in this endorsement:

"Volunteer" means a person, who is not your "employee", and who donates his or her work and acts at the direction of and within the scope of duties determined by you, and is not paid a fee, salary or other compensation by you or anyone else for their work performed for you.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EMPLOYEE HIRED AUTOS

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

A. Changes In Covered Autos Liability Coverage

The following is added to the **Who Is An Insured** provision:

An "employee" of yours is an "insured" while operating an "auto" hired or rented under a contract or agreement in an "employee's" name, with your permission, while performing duties related to the conduct of your business.

For Hired Auto Physical Damage Coverage, any covered "auto" hired or rented by your "employee" under a contract in an "employee's" name, with your permission, while performing duties related to the conduct of your business is deemed to be a covered "auto" you own.

B. Changes In General Conditions

Paragraph **5.b.** of the **Other Insurance** Condition in the Business Auto and Auto Dealers Coverage Forms and Paragraph **5.f.** of the **Other Insurance – Primary And Excess Insurance Provisions** Condition in the Motor Carrier Coverage Form are amended by the addition of the following:

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NORTH CAROLINA UNINSURED MOTORISTS COVERAGE

For a covered "auto" licensed or garaged in, or "auto dealer operations" conducted in, North Carolina, this endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

This endorsement changes the policy effective on the inception date of the policy unless another date is indicated below.

Named Insured:

Endorsement Effective Date:

SCHEDULE

Limit Of Insurance: \$

Each "Accident"

Information required to complete this Schedule, if not shown above, will be shown in the Declarations.

The definition of "uninsured motor vehicle" in this endorsement applies in its entirety unless an "X" is entered below:

☐

If an "X" is entered in this box, Paragraph **b.** of the definition of "uninsured motor vehicle" does not apply.

A. Coverage

1. We will pay all sums the "insured" is legally entitled to recover as compensatory damages from the owner or driver of:

- a. An "uninsured motor vehicle" because of "bodily injury" sustained by the "insured" and caused by an "accident"; and
- b. An "uninsured motor vehicle", as defined in Paragraphs **a.** and **c.** of the definition of "uninsured motor vehicle", because of "property damage" caused by an "accident".

The owner's or driver's liability for these damages must result from the ownership, maintenance or use of the "uninsured motor vehicle".

2. With respect to damages resulting from an "accident" with a vehicle described in Paragraph **b.** of the definition of "uninsured motor vehicle", we will pay under this coverage only if Paragraph **a.** or **b.** below applies:

- a. The limits of any applicable liability bonds or policies have been exhausted by payment of judgments or settlements; or
- b. A tentative settlement has been made between an "insured" and the insurer of a vehicle described in Paragraph **b.** of the definition of "uninsured motor vehicle" and we:

- (1) Have been given prompt written notice of such tentative settlement; and

(2) Advance payment to the "insured" in an amount equal to the tentative settlement within 30 days after receipt of notification.

3. Any judgment for damages arising out of a "suit" brought without sending us a copy of the summons, complaint or other process against an uninsured motorist is not binding on us.

B. Who Is An Insured

If the Named Insured is designated in the Declarations as:

1. An individual, then the following are "insureds":
 - a. The Named Insured and any "family members".
 - b. Anyone else "occupying" a covered "auto" or a temporary substitute for a covered "auto". The covered "auto" must be out of service because of its breakdown, repair, servicing, "loss" or destruction.
 - c. Anyone for damages he or she is entitled to recover because of "bodily injury" sustained by another "insured".
2. A partnership, limited liability company, corporation or any other form of organization, then the following are "insureds":
 - a. Anyone "occupying" a covered "auto" or a temporary substitute for a covered "auto". The covered "auto" must be out of service because of its breakdown, repair, servicing, "loss" or destruction.
 - b. Anyone for damages he or she is entitled to recover because of "bodily injury" sustained by another "insured".
 - c. The Named Insured for "property damage" only.

C. Exclusions

This coverage does not apply to:

1. Any claim settled by the "insured" or any legal representative of the "insured" without our consent. However, this exclusion does not apply to a settlement made with the insurer of a vehicle described in Paragraph **b.** of the definition of "uninsured motor vehicle" in accordance with the procedure described in Paragraph **A.2.b.**
2. The direct or indirect benefit of any insurer or self-insurer under any workers' compensation, disability benefits or similar law.

3. The direct or indirect benefit of any insurer of property.
4. An "auto" or property contained in the "auto" other than a covered "auto".
5. The first \$100 of the amount of "property damage" to the property of each "insured" as the result of any one "accident".
6. Anyone using a vehicle without a reasonable belief that the person is entitled to do so.
7. Punitive or exemplary damages.
8. "Bodily injury" or "property damage" arising directly or indirectly out of:
 - a. War, including undeclared or civil war;
 - b. Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
 - c. Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

D. Limit Of Insurance

1. Regardless of the number of covered "autos", "insureds", premiums paid, claims made or vehicles involved in the "accident", the most we will pay for all damages resulting from any one "accident" is the limit of Uninsured Motorists Coverage shown in the Declarations. However:
 - a. The damages sustained by the "insured" for "bodily injury" will be reduced by all sums paid or payable because of the "bodily injury" under any workers' compensation law.
 - b. If a vehicle described in Paragraph **b.** of the definition of "uninsured motor vehicle" is insured under Covered Autos Liability Coverage of this policy, the available Uninsured Motorists Coverage is that amount of Uninsured Motorists Coverage under this policy which exceeds this policy's Covered Autos Liability Coverage bodily injury liability limits.
2. No one will be entitled to receive duplicate payments for the same elements of "loss" under this Coverage Form and any Liability Coverage form or Medical Payments Coverage endorsement attached to this Coverage Part.

We will not make a duplicate payment under this coverage for any element of "loss" for which payment has been made by or for anyone who is legally responsible.

We will not pay for any element of "loss" if a person is entitled to receive payment for the same element of "loss" under any disability benefits or similar law, exclusive of workers' compensation and nonoccupational disability benefits.

E. Changes In Conditions

The Conditions are changed for Uninsured Motorists Coverage as follows:

- 1. Other Insurance** in the Auto Dealers and Business Auto Coverage Forms and **Other Insurance – Primary And Excess Insurance Provisions** in the Motor Carrier Coverage Form are replaced by the following:

If there is other applicable insurance available under one or more policies or provisions of coverage:

- a.** The maximum recovery under all Coverage Forms or policies combined may equal but not exceed the highest applicable limit for any one vehicle under any Coverage Form or policy providing coverage on either a primary or excess basis.
- b.** Any insurance we provide with respect to a vehicle:
 - (1)** The Named Insured does not own; or
 - (2)** Owned by the Named Insured or, if the Named Insured is an individual, any "family member", that is not a covered "auto" for Uninsured Motorists Coverage under this Coverage Form;shall be excess over any other collectible uninsured motorists insurance providing coverage on a primary basis.
- c.** If the coverage under this Coverage Form is provided:
 - (1)** On a primary basis, we will pay only our share of the loss that must be paid under insurance providing coverage on a primary basis. Our share is the proportion that our limit of liability bears to the total of all applicable limits of liability for coverage on a primary basis.
 - (2)** On an excess basis, we will pay only our share of the loss that must be paid under insurance providing coverage on an excess basis. Our share is the proportion that our limit of liability bears to the total of all applicable limits of liability for coverage on an excess basis.

- 2. Duties In The Event Of Accident, Claim, Suit Or Loss** in the Business Auto and Motor Carrier Coverage Forms and **Duties In The Event Of Accident, Claim, Offense, Suit, Loss Or Acts, Errors Or Omissions** in the Auto Dealers Coverage Form are changed by adding the following:

- a.** Promptly notify the police if a hit-and-run driver is involved.
- b.** Promptly send us copies of the legal papers if a "suit" is brought. A "suit" may not be brought against anyone legally responsible for the use of any "auto" involved in the "accident" until 60 days after an "insured" notifies us or our agent of his or her belief that the prospective defendant is an uninsured motorist.
- c.** Any person who intends to pursue recovery against the owner or operator of an "uninsured motor vehicle", as described in Paragraph **b.** of the definition of "uninsured motor vehicle", for damages beyond those paid or payable under this policy shall give us:
 - (1)** Notice of such intent; and
 - (2)** The opportunity to participate, at our expense, in the prosecution of such claim.
- d.** A person seeking coverage from an insurer, owner or operator of a vehicle described in Paragraph **b.** of the definition of "uninsured motor vehicle" must also promptly notify us in writing of a tentative settlement between the "insured" and the insurer and allow us to advance payment to that "insured" in an amount equal to the tentative settlement within 30 days after receipt of notification to preserve our rights against the insurer, owner or operator of such vehicle.

- 3. Transfer Of Rights Of Recovery Against Others To Us** is changed as follows:

- a.** If we make any payment on the Named Insured's behalf, we are entitled to recover what we paid from other parties. The Named Insured must transfer rights of recovery against others to us. The Named Insured must do everything necessary to secure these rights and do nothing to jeopardize them.

However, our rights under this paragraph do not apply with respect to vehicles described in Paragraphs **F.4.a.**, **c.** and **d.** of the definition of "uninsured motor vehicle". For these vehicles, if we make any payment and the Named Insured recovers from another party, that Named Insured must hold the proceeds in trust for us and pay us back the amounts we have paid.

- b.** Our rights do not apply under this provision with respect to damages caused by an "accident" with a vehicle described in Paragraph **b.** of the definition of "uninsured motor vehicle" if we:

(1) Have been given prompt written notice of a tentative settlement between an "insured" and the insurer of a vehicle described in Paragraph **b.** of the definition of "uninsured motor vehicle"; and

(2) Fail to advance payment to the "insured" in an amount equal to the tentative settlement within 30 days after receipt of notification.

If we advance payment to the "insured" in an amount equal to the tentative settlement within 30 days after receipt of notification:

(1) That payment will be separate from any amount the "insured" is entitled to recover under the provisions of Underinsured Motor Vehicle Coverage; and

(2) We also have a right to recover the advanced payment.

- 4.** The following condition is added:

Arbitration

- a.** If we and an "insured" disagree whether the "insured" is legally entitled to recover damages from the owner or driver of an "uninsured motor vehicle" or do not agree as to the amount of damages that are recoverable by that "insured", then the matter may be arbitrated. However, disputes concerning coverage under this endorsement may not be arbitrated. The "insured" may make a written demand for arbitration. In this event, each party will select an arbitrator. The two arbitrators will select a third. If they cannot agree within 30 days, either may request that selection be made by a judge of a court having jurisdiction. Each party will pay the expenses it incurs and bear the expenses of the third arbitrator equally.

- b.** Unless both parties agree otherwise, arbitration will take place in the county in which the "insured" lives. Local rules of law as to arbitration procedure and evidence will apply. A decision agreed to by two of the arbitrators will be binding.

- c.** If the "insured" elects not to arbitrate, our liability will be determined only in an action against us. In any action against us, except an action to determine whether a vehicle is an "uninsured motor vehicle", we may require the "insured" to join the owner or driver of the vehicle as a party defendant.

If the "insured" elects arbitration to determine the amount of "property damage", then the Appraisal For Property Damage Condition does not apply.

F. Additional Definitions

As used in this endorsement:

- 1.** "Family member" means a person related to an individual Named Insured by blood, marriage or adoption who is a resident of such Named Insured's household, including a ward or foster child.

- 2.** "Occupying" means in, upon, getting in, on, out or off.

- 3.** "Property damage" means injury to or destruction of the property of an "insured".

- 4.** "Uninsured motor vehicle" means a land motor vehicle or "trailer":

- a.** For which neither a bond or policy nor cash or securities on file with the North Carolina Commissioner of Motor Vehicles provides at least the amounts required by the North Carolina Motor Vehicle Safety and Responsibility Act.

- b.** That is an underinsured motor vehicle. An underinsured motor vehicle is a land motor vehicle or "trailer" for which the sum of all bodily injury liability bonds or policies at the time of an "accident" provides at least the amounts required by the North Carolina Motor Vehicle Safety and Responsibility Act, and:

- (1)** Is less than the total damages sustained by an "insured"; or;

- (2)** The total limit of liability available has been exhausted and the total amount actually paid from the exhaustion of the total limit of insurance available at the time of the "accident" is less than the total damages sustained by an "insured".
- c.** For which the insuring or bonding company denies coverage or is or becomes insolvent.
- d.** That is a hit-and-run vehicle causing "bodily injury" to an "insured" and neither the driver nor owner can be identified. The vehicle must hit an "insured", a covered "auto" or a vehicle an "insured" is "occupying".

However, "uninsured motor vehicle" does not include any vehicle:

- a.** Owned or operated by a self-insurer under any applicable motor vehicle law, except a self-insurer who is or becomes insolvent and cannot provide the amounts required by that motor vehicle law.
- b.** Owned by:
 - (1)** The United States of America;
 - (2)** Canada;
 - (3)** A state; or
 - (4)** An agency, except vehicles owned by political subdivisions of **(1)**, **(2)** or **(3)** above.
- c.** Designed for use mainly off public roads while not on public roads.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SILICA OR SILICA-RELATED DUST EXCLUSION FOR COVERED AUTOS EXPOSURE

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

A. The following exclusion is added to **Covered Autos Liability Coverage:**

Silica Or Silica-related Dust Exclusion For Covered Autos Exposure

This insurance does not apply to:

1. "Bodily injury" arising, in whole or in part, out of the actual, alleged, threatened or suspected inhalation of, or ingestion of, "silica" or "silica-related dust".
2. "Property damage" arising, in whole or in part, out of the actual, alleged, threatened or suspected contact with, exposure to, existence of, or presence of, "silica" or "silica-related dust".

3. Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, "silica" or "silica-related dust", by any "insured" or by any other person or entity.

B. Additional Definitions

As used in this endorsement:

1. "Silica" means silicon dioxide (occurring in crystalline, amorphous and impure forms), silica particles, silica dust or silica compounds.
2. "Silica-related dust" means a mixture or combination of silica and other dust or particles.

**QUICK REFERENCE
COMMERCIAL AUTO COVERAGE PART
BUSINESS AUTO COVERAGE FORM**

READ YOUR POLICY CAREFULLY

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

PREJUDGMENT INTEREST

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the coverage form apply unless modified by this endorsement.

Supplementary Payments is amended by adding the following:

Prejudgment interest awarded against the "insured" on that part of the judgment we pay. If we make an offer to pay the applicable limit of insurance, we will not pay any prejudgment interest based on that period of time after the offer.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

TORT LIABILITY ENDORSEMENT

This endorsement modifies insurance provided under the following:

BUSINESS AUTO COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the coverage form apply unless modified by the endorsement.

This policy does not apply to any claim against an "Insured" for which the "Insured"

(1) Is immune from liability due to the provisions of any statute or where the action based upon such claim has been barred or abated by operation of statute or rule of civil procedure; or

(2) Is not immune from liability as described in **(1)** above but is immune from further liability above any specific statutory limits cap on the maximum liability of the "insured". However, this item **(2)** does not apply to the extent (if any) this policy provides coverage up to the maximum statutory liability limit cap.

This endorsement shall not apply if, for any reason, the immunity or maximum liability cap granted by statute or rule of civil procedure is deemed void.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION – NORTH CAROLINA PUBLIC SCHOOL BUSES

This endorsement modifies insurance provided under the following:

BUSINESS AUTO COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

Section II – Covered Autos Liability Coverage, Paragraph **B. Exclusions** is amended by adding the following:

Public School Bus

"Bodily injury" or "property damage" resulting from public school buses operated under the provisions of North Carolina General Statute #115C-242 for which claims are subject to the provisions of the North Carolina State Tort Claims Act as provided by General Statute #143-300.1. This exclusion applies regardless of the coverage symbol designated in the declarations of the policy.

However, this exclusion does not apply to:

Any activity buses owned and operated by you or public school buses owned and operated by you for the transportation of Head Start or similar programs for which claims are not subject to the provisions of General Statute #143-300.1.

If there is a change to the statutes referred to in the foregoing paragraphs, the succeeding statutory compilation will replace the above referenced statutes.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COMMERCIAL AUTO ELITE EXTENSION – SCHOOLS

This endorsement modifies insurance provided under the following:

BUSINESS AUTO COVERAGE FORM

The BUSINESS AUTO COVERAGE FORM is amended to include the following clarifications and extensions of coverage. With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

A. TEMPORARY SUBSTITUTE AUTO PHYSICAL DAMAGE

Section I – Covered Autos Paragraph **C. Certain Trailers, Mobile Equipment, and Temporary Substitute Autos** is amended by adding the following:

If **Physical Damage Coverage** is provided by this coverage form for an "auto" you own, the **Physical Damage Coverages** provided for that owned "auto" are extended to any "auto" you do not own while used with the permission of its owner as a temporary substitute for the covered "auto" you own that is out of service because of breakdown, repair, servicing, "loss" or destruction.

The coverage provided is the same as the coverage provided for the vehicle being replaced.

B. OFFICERS, EMPLOYEES, VOLUNTEERS AND AGENTS

Section II – Covered Autos Liability Coverage is amended as follows:

Paragraph **A.1. Who Is An Insured** is amended by adding paragraph **d.**

d. Any of your officers, "employees", volunteers, agents or elected officials are "insured's" while operating an "auto" under the following conditions:

- (1)** Only while such "auto" is being used in your business;
- (2)** Only while the "auto" is being operated within the scope of their employment, volunteering or duties in your business; and
- (3)** Only when the use of such "auto" has been authorized by you.

This extension does not apply:

- (1)** While an officer, employee, volunteer or agent of yours uses any "auto" to drive to or from work; or
- (2)** While an "auto" is operated by any of your officers, employees, volunteers or agents for their own personal use.

Neither of the above limitations **(1)** or **(2)** apply when an owned "auto" is a scheduled "auto" and is furnished for regular use to an officer or "employee" by the Named Insured.

Each volunteer is to be considered an "employee" and is subject to all terms, provisions and conditions of the coverage form.

C. BLANKET ADDITIONAL INSURED

Section II – Covered Autos Liability Coverage, A.1. Who Is An Insured is amended to add the following:

Any person or organization for whom you are performing operations where there is a written agreement or contract with such person or organization be added as an "insured" on your Policy.

- 1.** Such person or organization is an additional insured only with respect to liability for "bodily injury" or "property damage";
 - a.** Caused by an "accident" or
 - b.** Resulting from the ownership, maintenance or use of a covered "auto".
- 2.** A person's or organization's status as an additional insured exists only while you are performing operations for that additional insured.
- 3.** Any "leased auto" will be considered a covered "auto" you own and not a covered "auto" you hire or borrow. The lessor is an "insured" for "bodily injury" or "property damage" resulting from the acts or omissions by:
 - a.** You;
 - b.** Any of your "employees" or agents; or
 - c.** Any person, except the lessor or any "employee" or agent of the lessor, operation a "leased auto" with the permission of the above.

"Leased auto" means an "auto" leased or rented to you, including any substitute, replacement or extra "auto" needed to meet season or other needs, under a leasing or rental agreement that requires you to provide direct primary insurance for the lessor.

"Leased auto" does not include a leased "auto" engaged in the business of transporting property by "auto" for hire.

4. **Section II, Paragraph C. Limits Of Insurance** for person or organization added as "insured" are those specified in the written contract or agreement, or in the coverage form, whichever is less. These limits of insurance are inclusive of and are not in addition to the Limits of Insurance shown in the Declarations.
5. The insurance does not apply unless the written contract or agreement that has been executed prior to the "bodily injury" or "property damage".
6. The Blanket Additional Insured Coverage in this endorsement does not apply to any person or organization engaged in the business of transporting property by "auto" for hire.

D. EMPLOYEE HIRED AUTOS

1. Changes In Covered Autos Liability Coverage

The following is added to the **Who Is An Insured** Provision:

Any "employee" of yours is an "insured" while operating an "auto" hired or rented under a contract or agreement in an "employee's" name, with your permission, while performing duties related to the conduct of your business.

2. Changes In General Conditions

Paragraph **5.b.** of the **Other Insurance** in the Business Auto Coverage Form is amended by the addition of the following:

For Hired Auto Physical Damage Coverage, any covered "auto" hired or rented by your "employee" under a contract in an "employee's" name, with your permission, while performing duties related to the conduct of your business.

However, any "auto" that is leased, hired, rented or borrowed with a driver is not a covered "auto".

E. NEWLY FORMED OR ACQUIRED ORGANIZATIONS

Section II – Covered Autos Liability Coverage, A.1. Who Is An Insured is amended by adding the following:

Any organization which you acquire or form after the effective date of this Policy in which you maintain ownership or majority interest. However:

- (1) Coverage under this provision is afforded only up to 180 days after you acquire or form the organization, or to the end of the Policy period, whichever is earlier.
- (2) Any organization you acquire, or form will not be considered an "insured" if:
 - (a) The organization is a partnership or a limited liability company; or
 - (b) That organization is covered under other similar insurance.

- (3) Coverage under this provision does not apply to any claim for "bodily injury" or "property damage" resulting from an "accident" that occurred before you formed or acquired the organization.

F. SUBSIDIARIES AS INSURED

Section II – Covered Autos Liability Coverage, A.1. Who Is An Insured is amended by adding the following:

Any legally incorporated subsidiary in which you own more than 50% of the voting stock on the effective date of this Policy. However, "insured" does not include any subsidiary that is an "insured" under any other automobile liability Policy or was an "insured" under such a Policy but for termination of that Policy or the exhaustion of the Policy's limits of liability.

G. BATTERY OR SOLAR POWERED AUTOMOBILE

Section II Covered Autos Liability Coverage, Paragraph B. Exclusions, Subparagraph 13. Racing is deleted and replaced by the following:

13. Racing

Covered "autos" while used in any professional or organized racing or demolition contest or stunting activity, or while practicing for such contest or activity. This insurance also does not apply while that covered "auto" is being prepared for such a contest or activity.

However, this exclusion does not apply to any battery powered, solar powered or similar "autos" owned by you and operated by you or your students in a school approved event.

H. SUPPLEMENTARY PAYMENTS

Section II – Covered Autos Liability Coverage, A.2.a. Coverage Extensions, Supplementary Payments (2) and (4) are replaced by the following:

- (2) Up to \$5,000 for cost of bail bonds (including bonds for related traffic law violations) required because of an "accident" we cover. We do not have to furnish these bonds.
- (4) All reasonable expenses incurred by the "insured" at our request, including actual loss of earnings up to \$500 a day because of time off from work.

I. EXPECTED OR INTENDED INJURY

Section II – Covered Autos Liability Coverage, Paragraph B. Exclusions is amended by deleting Paragraph **1. Expected Or Intended Injury** in its entirety and replaced by the following:

"Bodily injury" or "property" damage" expected or intended from the standpoint of the "insured". This exclusion does not apply to expected or intended "bodily injury" or "property damage" resulting from actions taken to protect persons or property and arising out of the use of a covered "auto".

J. FELLOW EMPLOYEE INCLUSION

Section II – Covered Autos Liability Coverage, Paragraph B. Exclusions is amended by deleting Paragraph **5. Fellow Employee** in its entirety.

K. TOWING AND LABOR

Section III – Physical Damage Coverage, A.2. Towing And Labor is replaced with the following:

We will pay for **Towing and Labor** costs incurred, subject to the following:

- a. Up to \$100 each time a covered “auto” that is a private passenger type is disabled; or
- b. Up to \$500 each time a covered “auto” other than the private passenger type is disabled.

However, the labor must be performed at the place of disablement.

L. LOCKSMITH SERVICES

Section III – Physical Damage Coverage, A.4. Coverage Extensions is amended by adding the following:

We will pay up to \$250 per occurrence for necessary locksmith services for keys locked inside a covered private passenger “auto”. The deductible is waived for these services.

M. PHYSICAL DAMAGE – TRANSPORTATION EXPENSE

Section III – Physical Damage Coverage, Paragraph A.4. Coverage Extensions Subparagraph a. Transportation Expenses is replaced by the following:

a. Transportation Expense

- (1) We will pay up to \$75 per day to a maximum of \$2,500 for temporary transportation expense incurred by you because of the total theft of a covered “auto” of the private passenger type. We will pay only for those covered “autos” for which you carry either Comprehensive or Specified Cause of Loss Coverage. We will pay for temporary transportation expenses incurred during the period beginning 48 hours after the theft and ending, regardless of the Policy’s expirations, when the covered “auto” is returned to use or we pay for its “loss”.
- (2) If the temporary transportation expenses you incur arise from your rental of an “auto” of the private passenger type, the most we will pay is the amount it costs to rent an “auto” of the private passenger type which is of the same like kind and quality as the stolen covered “auto”.

N. PERSONAL AUTO PHYSICAL DAMAGE RECOVERY

Paragraph **A.4. Coverage Extensions** is amended by adding the following:

- e. We will pay up to \$4,500 or reimburse the Personal Auto deductible, whichever is less, when your officers, employees or agents incur a covered physical damage loss to “autos” they personally own and use in your business or your personal affairs. They must have been operating such “auto” within the scope of their employment or duties for you at the time of incurring the loss.

This does not apply:

- (1) While these personally owned “autos” are used to drive to or from work; nor
- (2) To “autos” you own, hire or borrow.

O. ELECTRONIC EQUIPMENT

The \$1,000 limitation indicated in the **Limits Of Insurance** in Paragraph **C.1.b.** of the **Limits Of Insurance** provision under **Section III – Physical Damage Coverage** does not apply.

P. HIRED AUTO PHYSICAL DAMAGE

Section III – Physical Damage Coverage, A.4. Coverage Extensions is amended by adding the following:

If hired “autos” are covered “autos” for Liability Coverage, and if Comprehensive, Specified Causes of Loss, or Collision coverage is provided for any “auto” you own, then the Physical Damage Coverages provided are extended to “autos” you lease, hire, rent or borrow is deemed to be a covered “auto” you own, subject to the following limit and deductible:

- (1) The most we will pay for loss to any leased, hired, rented or borrowed “auto” is the lesser of Actual Cash Value or Cost of Repair, minus the deductible.
- (2) The deductible will be equal to the largest deductible applicable to any owned “auto” for that coverage.
- (3) Subject to the above limit and deductible provisions, we will provide coverage equal to the broadest coverage applicable to any covered “auto” you own.

We will pay up to \$1,000, in addition to the limit above, for **Loss Of Use** of a hired auto to a leasing or rental concern for a monetary loss sustained, provided it results from an “accident” for which you are legally liable.

Q. AUTO LOAN/LEASE GAP COVERAGE

Section III – Physical Damage Coverage Paragraph A.4. Coverage Extensions is amended by the addition of the following:

Paragraph **C. Limits Of Insurance** is amended by adding the following:

4. In the event of a total “loss” to a covered “auto”, we will pay any unpaid amount due on the lease or loan for a covered “auto”, less:
 - a. The amount paid under the Policies Physical Damage Coverage Section of the Policy; and
 - b. Any:
 - (1) Overdue or any deferred lease/loan payments at the time of the “loss”;
 - (2) Financial penalties imposed under a lease for excessive use, abnormal wear and tear or high mileage;
 - (3) Security deposits not returned by the lessor;

- (4) Costs for extended warranties, Credit Life Insurance, Health, Accident or Disability Insurance purchased with the loan or lease; and
- (5) Carry-over balances from previous loans or leases.

R. PERSONAL PROPERTY OF OTHERS

Section III – Physical Damage Coverage, Paragraph A.4. Coverage Extensions is amended by adding the following:

- d. We will pay up to \$1,000 for loss to **Personal Property Of Others** in or on your covered "auto". This coverage applies only in the event of "loss" to your covered "auto" caused by fire, lightning, explosion, theft, mischief or vandalism, the covered "autos" collision with another object, or the covered "autos" overturn.

No deductibles apply to this coverage.

S. PERSONAL EFFECTS COVERAGE

Section III – Physical Damage Coverage, A.4. Coverage Extensions is amended by adding the following:

We will pay up to \$500 for "loss" to your **Personal Effects** not otherwise covered in the Policy or, if you are an individual, the personal effects of a family member, that is in the covered auto at the time of the "loss".

For the purposes of this extension **Personal Effects** means tangible property that is worn or carried by an "insured" including portable audio, visual, or electronic devices. Personal Effects does not include tools, jewelry, guns, money and securities, or musical instruments.

T. EXTRA EXPENSE FOR STOLEN AUTO

Section III – Physical Damage Coverage, A.4. Coverage Extensions is amended by adding the following:

We will pay the expense incurred returning a stolen covered "auto" to you because of the total theft of such covered "auto". Coverage applies only to those covered "autos" for which you carry Comprehensive or Specified Causes of Loss Coverage.

U. RENTAL REIMBURSEMENT EXPENSES

Section III – Physical Damage Coverage, A.4. Coverage Extensions is amended by adding the following:

1. This coverage applies only to a covered "auto" for which **Physical Damage Coverage** is provided on this Policy.
2. We will pay for **Rental Reimbursement Expenses** incurred by you for the rental of an "auto" because of "loss" to a covered "auto". Payment applies in addition to the otherwise applicable amount of each coverage you have on a covered "auto". No deductibles apply to this coverage.
3. We will pay only for those expenses incurred during the Policy period beginning 24 hours after

the "loss" and ending, regardless of the Policy's expiration, with the lesser of the following number of days.

- a. The number of days reasonably required to repair or replace the covered "auto". If "loss" is caused by theft, this number of days is added to the number of days it takes to locate the covered "auto" and return it to you; or
 - b. 30 days.
4. Our payment is limited to the lesser of the following amounts:
 - a. Necessary and actual expenses incurred; or
 - b. \$75 per day, subject to a \$2,250 limit.
 5. This coverage does not apply while there are spare or reserve "autos" available to you for your operations.
 6. If "loss" results from the total theft of a covered "auto" of the private passenger type, we will pay under this coverage only that amount of your **Rental Reimbursement Expenses** which is not already provided for under the Physical Damage – Transportation Expense Coverage Extension included in this endorsement.
 7. Coverage provided by this extension is excess over any other collectible insurance and/or endorsement to this Policy.

V. AIRBAG COVERAGE

Section III – Physical Damage Coverage, B.3.a. Exclusions is amended by adding the following:

If you have purchased Comprehensive or Collision Coverage under this Policy, the exclusion relating to mechanical breakdown does not apply to the accidental discharge of an airbag.

W. NEW VEHICLE REPLACEMENT COST

The following is added to Paragraph **C. Limit Of Insurance of Section III – Physical Damage Coverage**

In the event of a total "loss" to your new covered auto of the private passenger type or vehicle having a gross vehicle weight of 20,000 pounds or less, to which this coverage applies, we will pay at your option:

- a. The verifiable new vehicle purchase price you paid for your damaged vehicle, not including any insurance or warranties.
- b. The purchase price, as negotiated by us, of a new vehicle of the same make, model, and equipment, or most similar model available, not including any furnishings, parts, or equipment not installed by the manufacturer or their dealership.
- c. The market value of your damaged vehicle, not including any furnishings, parts, or equipment not installed by the manufacturer or their dealership.

We will not pay for initiation or set up costs associated with a loans or leases.

For the purposes of this coverage extension a new covered auto is defined as an "auto" of which you are the original owner that has not been previously titled

which you purchased less than 180 days prior to the date of loss.

X. LOSS TO TWO OR MORE COVERED AUTOS FROM ONE ACCIDENT

Section III – Physical Damage Coverage, D. Deductible Subparagraph 2. is replaced by the following:

2. Regardless of the number of covered “autos” damaged or stolen the maximum deductible applicable for all “loss” in any one event caused by:
 - a. Theft or Mischief or Vandalism; or
 - b. All Perils
 - c. Collision

Will be equal to two times the highest deductible applicable to any one covered “auto” on the Policy for Comprehensive, Specified Causes of Loss or Collision Coverage. The application of the highest deductible used to calculate the maximum deductible will be made regardless of which covered “autos” were damaged or stolen in the “loss”.

Y. GLASS COVERAGE

Section III – Physical Damage Coverage, D. Deductible is amended by the addition of the following:

If a Comprehensive Coverage applies to the covered “auto”, a \$500 Comprehensive Coverage Deductible applies to the cost of replacing damaged glass on the covered “auto(s)”. No Comprehensive deductible applies to the cost of repairing damaged glass on the covered “auto(s)”.

Z. DUTIES IN THE EVENT OF ACCIDENT, CLAIM, SUIT, OR LOSS

Section IV – Business Auto Conditions, A.2. Duties In The Event Of Accident, Claim, Suit Or Loss is amended by adding the following:

Your obligation to notify us promptly of an “accident”, claim, “suit” or “loss” is satisfied if you send us the required notice as soon as practicable after your Insurance Administrator or anyone else designated by you to be responsible for insurance matters is notified, or in any manner made aware, of an “accident”, claim, “suit” or “loss”.

AA. WAIVER OF TRANSFER OF RIGHTS OF RECOVERY

Subparagraph 5. of Paragraph **A. Loss Conditions** of **Section IV – Business Auto Conditions** is deleted in its entirety and replaced with the following.

Transfer Of Rights Of Recovery Against Others To Us

If any person or organization to or for whom we make payment under this Coverage Form has rights to recover damages from another, those rights are transferred to us. That person or organization must do everything necessary to secure our rights and must do nothing after “accident” or “loss” to impair them.

However, we waive any right of recovery we may have against any person, or organization with whom you have a written contract, agreement or permit executed

prior to the “loss” that requires a waiver of recovery for payments made for damages arising out of your operations done under contract with such person or organization.

AB. UNINTENTIONAL FAILURE TO DISCLOSE EXPOSURES

Section IV – Business Auto Conditions, B.2. Concealment, Misrepresentation, Or Fraud is amended by adding the following:

If you unintentionally fail to disclose any exposures existing at the inception date of this Policy, we will not deny coverage under this Coverage Form solely because of such failure to disclose. However, this provision does not affect our right to collect additional premium or exercise our right of cancellation or non-renewal.

AC. MENTAL ANGUISH

Section V – Definitions, C. is replaced by the following:

“Bodily injury” means bodily injury, sickness or disease sustained by a person, including mental anguish or death resulting from bodily injury, sickness or disease.

AD. LIBERALIZATION

If we revise this endorsement to provide greater coverage without additional premium charge, we will automatically provide the additional coverage to all endorsement holders as of the day the revision is effective in your state.

AE. REPLACEMENT COST COVERAGE EXTENSION SCHOOL DISTRICTS – STUDENT TRANSPORTATION VEHICLES

For covered “autos” for which a limit and premium are specifically shown for Replacement Cost Coverage in the Schedule of Covered Autos You Own, Paragraph **C. Limits Of Insurance** is deleted and replaced by the following:

C. Limits Of Insurance, Replacement Cost Coverage Extension School Districts – Student Transportation Vehicles

1. The most we will pay for “loss” in any one “accident” is the least of:
 - a. The cost to repair a covered “auto” or a part or parts of it; or
 - b. The cost to replace a part or parts of the covered “auto” with a part or parts of like kind and quality without deduction for depreciation; or
 - c. The cost to replace the covered “auto” as of the time of the “loss” with a comparable new “auto” manufactured to current specifications or standards set by nationally recognized organizations such as but not limited to National Association for Pupil Transportation or the United States Department of Transportation, without deduction for depreciation; or
 - d. The amount shown in the Schedule of Covered Autos You Own as the

Replacement Cost for the covered "auto".

2. For covered "autos" acquired during the Policy period as replacement or additional vehicles and not specifically scheduled on the Schedule of Covered Autos You Own will be covered by the Physical Damage Coverage Limit of Insurance provisions of the Commercial Auto Coverage Form that is a part of this Policy.

AF. EXTENDED PROPERTY DAMAGE COVERAGE

Section VI – Extended Property Damage Coverage is added as follows:

Provisions of the Business Auto Coverage Form and related revisions provided in other portions of this Commercial Auto Amendment apply unless modified by the following:

SCHEDULE

Limit Of Insurance	\$100,000 each "accident"
Deductible	\$ 250 each claim
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

A. Coverage

Exclusion 6. of Section II – Liability Coverage is deleted and replaced by the following:

6. Care, Custody or Control

"Property Damage" to property owned by or rented or leased to any "insured".

This exclusion does not apply to property including any "auto" left in the "insured's" care, custody or control while left with you for service, repair, storage or safekeeping.

B. Limits Of Insurance

1. The Limits Of Insurance shown in the schedule is the most we will pay in damages for each "accident" covered under this extension regardless of the number of:
 - a. "Insureds";
 - b. Claims made or "suits" brought; or
 - c. Persons or organizations making claims or bringing "suits".
2. Any payments we make for damages because of "property damage" covered by this extension will apply against the annual Limits Of Insurance for Liability Coverage shown on the Declarations.

C. Deductible

1. Our obligation to pay damages on your behalf applies only to the amount of damages in excess of the deductible amount shown above.
2. To settle a claim or "suit," we may pay all or any part of the deductible. If this happens, you must reimburse us for the deductible or that portion we paid.
3. Your duties in the event of a claim or "suit" apply regardless of the application of the deductible.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

IMPORTANT NOTICE TO POLICYHOLDERS

CLARIFICATION

PAYMENT FOR AFTERMARKET CRASH PARTS

IN THE REPAIR OF YOUR COVERED AUTO UNDER THE PHYSICAL DAMAGE COVERAGE PROVISIONS OF THIS POLICY, WE MAY REQUIRE OR SPECIFY THE USE OF AUTOMOBILE PARTS NOT MADE BY THE ORIGINAL MANUFACTURER. THESE PARTS ARE REQUIRED TO BE AT LEAST EQUAL IN TERMS OF FIT, QUALITY, PERFORMANCE AND WARRANTY TO THE ORIGINAL MANUFACTURER PARTS THEY REPLACE.

NORTH CAROLINA AUTO SUPPLEMENT

NOTICE OF RIGHT TO PURCHASE HIGHER LIMITS OF UNINSURED MOTORIST (UM) AND UNDERINSURED MOTORIST (UIM) COVERAGE

NOTICE: YOU MAY PURCHASE UNINSURED MOTORIST BODILY INJURY COVERAGE AND, IF APPLICABLE, UNDERINSURED MOTORIST COVERAGE WITH LIMITS UP TO ONE MILLION DOLLARS (\$1,000,000) PER PERSON AND ONE MILLION DOLLARS (\$1,000,000) PER ACCIDENT.

THIS INSURANCE PROTECTS YOU AND YOUR FAMILY AGAINST INJURIES CAUSED BY THE NEGLIGENCE OF OTHER DRIVERS WHO MAY HAVE LIMITED OR ONLY MINIMUM COVERAGE OR EVEN NO LIABILITY INSURANCE.

YOU SHOULD CONTACT YOUR INSURANCE COMPANY OR AGENT TO DISCUSS YOUR OPTIONS FOR OBTAINING THIS ADDITIONAL COVERAGE.

YOU SHOULD ALSO READ YOUR POLICY TO UNDERSTAND WHAT IS COVERED UNDER UNINSURED AND UNDERINSURED MOTORIST COVERAGES.

NORTH CAROLINA POLICYHOLDER NOTICE**NOTICE OF RIGHT TO PURCHASE HIGHER LIMITS OF UM/UIM**

This form is not your policy. **READ YOUR POLICY CAREFULLY** to determine rights, duties and what is and is not covered. Only the provisions of your policy determine the scope of your insurance protection. The policy itself must be read carefully for details of these changes. Please contact your agent to discuss any questions.

- You are required to purchase uninsured motorists bodily injury coverage, uninsured motorist property damage coverage and, in some cases, underinsured motorist bodily injury coverage. This insurance protects you and your family against injuries and property damage caused by the negligence of other drivers who may have limited or only minimum coverage or even no liability insurance.
- You may purchase uninsured motorist bodily injury coverage and, if applicable, underinsured motorists coverage with limits up to one million dollars (\$1,000,000) per person and one million dollars (\$1,000,000) per accident or at such lesser limits you choose. You cannot purchase coverage for less than the minimum limits for the bodily injury and property damage coverage that are required for your own vehicle.
- If you do not choose a greater or lesser limit for uninsured motorist bodily injury coverage, a lesser limit for uninsured motorist property damage coverage, and/or a greater or lesser limit for underinsured motorist bodily injury coverage, then the limits for the uninsured motorists bodily injury coverage and, if applicable, the underinsured motorist bodily injury coverage will be the same as the highest limits for bodily injury liability coverage for any one of your own vehicles insured under the policy and the limits for the uninsured motorist property damage coverage will be the same as the highest limits for property damage liability coverage for any one of your own vehicles insured under the policy.
- If you wish to purchase uninsured motorist and, if applicable, underinsured motorist coverage at different limits than the limits for your own vehicle insured under the policy, then you should contact your insurance company or agent to discuss your options for obtaining different coverage limits. You should also read your entire policy to understand what is covered under uninsured and underinsured motorist coverages.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

AUTO MEDICAL PAYMENTS COVERAGE

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

A. Coverage

We will pay reasonable expenses incurred for necessary medical and funeral services to or for an "insured" who sustains "bodily injury" caused by "accident". We will pay only those expenses incurred, for services rendered within three years from the date of the "accident".

B. Who Is An Insured

1. You while "occupying" or, while a pedestrian, when struck by any "auto".
2. If you are an individual, any "family member" while "occupying" or, while a pedestrian, when struck by any "auto".
3. Anyone else "occupying" a covered "auto" or a temporary substitute for a covered "auto". The covered "auto" must be out of service because of its breakdown, repair, servicing, loss or destruction.

C. Exclusions

This insurance does not apply to any of the following:

1. "Bodily injury" sustained by an "insured" while "occupying" a vehicle located for use as a premises.
2. "Bodily injury" sustained by you or any "family member" while "occupying" or struck by any vehicle (other than a covered "auto") owned by you or furnished or available for your regular use.

3. "Bodily injury" sustained by any "family member" while "occupying" or struck by any vehicle (other than a covered "auto") owned by or furnished or available for the regular use of any "family member".
4. "Bodily injury" to your "employee" arising out of and in the course of employment by you. However, we will cover "bodily injury" to your domestic "employees" if not entitled to workers' compensation benefits. For the purposes of this endorsement, a domestic "employee" is a person engaged in household or domestic work performed principally in connection with a residence premises.
5. "Bodily injury" to an "insured" while working in a business of selling, servicing, repairing or parking "autos" unless that business is yours.
6. "Bodily injury" arising directly or indirectly out of:
 - a. War, including undeclared or civil war;
 - b. Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
 - c. Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

7. "Bodily injury" to anyone using a vehicle without a reasonable belief that the person is entitled to do so.
8. "Bodily Injury" sustained by an "insured" while "occupying" any covered "auto" while used in any professional racing or demolition contest or stunting activity, or while practicing for such contest or activity. This insurance also does not apply to any "bodily injury" sustained by an "insured" while the "auto" is being prepared for such a contest or activity.

D. Limit Of Insurance

Regardless of the number of covered "autos", "insureds", premiums paid, claims made or vehicles involved in the "accident", the most we will pay for "bodily injury" for each "insured" injured in any one "accident" is the Limit Of Insurance for Auto Medical Payments Coverage shown in the Declarations.

No one will be entitled to receive duplicate payments for the same elements of "loss" under this coverage and any Liability Coverage Form, Uninsured Motorists Coverage Endorsement or Underinsured Motorists Coverage Endorsement attached to this Coverage Part.

E. Changes In Conditions

The **Conditions** are changed for **Auto Medical Payments Coverage** as follows:

1. The **Transfer Of Rights Of Recovery Against Others To Us** Condition does not apply.
2. The reference in **Other Insurance** in the Auto Dealers and Business Auto Coverage Forms and **Other Insurance – Primary And Excess Insurance Provisions** in the Motor Carrier Coverage Form to "other collectible insurance" applies only to other collectible auto medical payments insurance.

F. Additional Definitions

As used in this endorsement:

1. "Family member" means a person related to you by blood, marriage or adoption who is a resident of your household, including a ward or foster child.
2. "Occupying" means in, upon, getting in, on, out or off.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EMPLOYEES AS INSURED

This endorsement modifies insurance provided under the following:

BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

The following is added to the **Section II – Covered Autos Liability Coverage**, Paragraph **A.1. Who Is An Insured** provision:

Any "employee" of yours is an "insured" while using a covered "auto" you don't own, hire or borrow in your business or your personal affairs.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

POLLUTION LIABILITY – BROADENED COVERAGE FOR COVERED AUTOS – BUSINESS AUTO AND MOTOR CARRIER COVERAGE FORMS

This endorsement modifies insurance provided under the following:

BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

A. Covered Autos Liability Coverage is changed as follows:

1. Paragraph **a.** of the **Pollution** Exclusion applies only to liability assumed under a contract or agreement.
2. With respect to the coverage afforded by Paragraph **A.1.** above, Exclusion **B.6. Care, Custody Or Control** does not apply.

B. Changes In Definitions

For the purposes of this endorsement, Paragraph **D.** of the **Definitions** Section is replaced by the following:

- D.** "Covered pollution cost or expense" means any cost or expense arising out of:
1. Any request, demand, order or statutory or regulatory requirement that any "insured" or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants"; or
 2. Any claim or "suit" by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to or assessing the effects of "pollutants".

"Covered pollution cost or expense" does not include any cost or expense arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants":

- a. Before the "pollutants" or any property in which the "pollutants" are contained are moved from the place where they are accepted by the "insured" for movement into or onto the covered "auto"; or
- b. After the "pollutants" or any property in which the "pollutants" are contained are moved from the covered "auto" to the place where they are finally delivered, disposed of or abandoned by the "insured".

Paragraphs **a.** and **b.** above do not apply to "accidents" that occur away from premises owned by or rented to an "insured" with respect to "pollutants" not in or upon a covered "auto" if:

- (1) The "pollutants" or any property in which the "pollutants" are contained are upset, overturned or damaged as a result of the maintenance or use of a covered "auto"; and
- (2) The discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused directly by such upset, overturn or damage.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COVERED AUTO DESIGNATION SYMBOL

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

This endorsement changes the policy effective on the inception date of the policy unless another date is indicated below:

Named Insured:

Endorsement Effective Date:

Section I – Covered Autos in the Business Auto and Motor Carrier Coverage Forms and **Section I – Covered Autos Coverages** in the Auto Dealers Coverage Form are amended by adding the following:

Item Two of the Declarations shows the "autos" that are covered "autos" for each of your coverages. The following numerical symbols may be used (in addition to the numerical symbols described in the Coverage Form) to describe the "autos" that may be covered "autos". The entry of one of these symbols next to a coverage on the Declarations will designate the only "autos" that are covered "autos".

Symbol	Description Of Covered Auto Designation Symbols	
For use with the Business Auto Coverage Form		
10	=	
For use with the Auto Dealers Coverage Form		
32	=	

Symbol	Description Of Covered Auto Designation Symbols	
		For use with the Motor Carrier Coverage Form
72	=	
73	=	

COMMON POLICY CONDITIONS

All Coverage Parts included in this policy are subject to the following conditions.

A. Cancellation

1. The first Named Insured shown in the Declarations may cancel this policy by mailing or delivering to us advance written notice of cancellation.
2. We may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least:
 - a. 10 days before the effective date of cancellation if we cancel for nonpayment of premium; or
 - b. 30 days before the effective date of cancellation if we cancel for any other reason.
3. We will mail or deliver our notice to the first Named Insured's last mailing address known to us.
4. Notice of cancellation will state the effective date of cancellation. The policy period will end on that date.
5. If this policy is cancelled, we will send the first Named Insured any premium refund due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund may be less than pro rata. The cancellation will be effective even if we have not made or offered a refund.
6. If notice is mailed, proof of mailing will be sufficient proof of notice.

B. Changes

This policy contains all the agreements between you and us concerning the insurance afforded. The first Named Insured shown in the Declarations is authorized to make changes in the terms of this policy with our consent. This policy's terms can be amended or waived only by endorsement issued by us and made a part of this policy.

C. Examination Of Your Books And Records

We may examine and audit your books and records as they relate to this policy at any time during the policy period and up to three years afterward.

D. Inspections And Surveys

1. We have the right to:
 - a. Make inspections and surveys at any time;

- b. Give you reports on the conditions we find; and
- c. Recommend changes.

2. We are not obligated to make any inspections, surveys, reports or recommendations and any such actions we do undertake relate only to insurability and the premiums to be charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. And we do not warrant that conditions:
 - a. Are safe or healthful; or
 - b. Comply with laws, regulations, codes or standards.

3. Paragraphs 1. and 2. of this condition apply not only to us, but also to any rating, advisory, rate service or similar organization which makes insurance inspections, surveys, reports or recommendations.

4. Paragraph 2. of this condition does not apply to any inspections, surveys, reports or recommendations we may make relative to certification, under state or municipal statutes, ordinances or regulations, of boilers, pressure vessels or elevators.

E. Premiums

The first Named Insured shown in the Declarations:

1. Is responsible for the payment of all premiums; and
2. Will be the payee for any return premiums we pay.

F. Transfer Of Your Rights And Duties Under This Policy

Your rights and duties under this policy may not be transferred without our written consent except in the case of death of an individual named insured.

If you die, your rights and duties will be transferred to your legal representative but only while acting within the scope of duties as your legal representative. Until your legal representative is appointed, anyone having proper temporary custody of your property will have your rights and duties but only with respect to that property.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NUCLEAR ENERGY LIABILITY EXCLUSION ENDORSEMENT

(Broad Form)

This endorsement modifies insurance provided under the following:

COMMERCIAL AUTOMOBILE COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
FARM COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
MEDICAL PROFESSIONAL LIABILITY COVERAGE PART
OWNERS AND CONTRACTORS PROTECTIVE LIABILITY COVERAGE PART
POLLUTION LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART
UNDERGROUND STORAGE TANK POLICY

1. The insurance does not apply:

A. Under any Liability Coverage, to "bodily injury" or "property damage":

- (1)** With respect to which an "insured" under the policy is also an insured under a nuclear energy liability policy issued by Nuclear Energy Liability Insurance Association, Mutual Atomic Energy Liability Underwriters, Nuclear Insurance Association of Canada or any of their successors, or would be an insured under any such policy but for its termination upon exhaustion of its limit of liability; or
- (2)** Resulting from the "hazardous properties" of "nuclear material" and with respect to which **(a)** any person or organization is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any law amendatory thereof, or **(b)** the "insured" is, or had this policy not been issued would be, entitled to indemnity from the United States of America, or any agency thereof, under any agreement entered into by the United States of America, or any agency thereof, with any person or organization.

B. Under any Medical Payments coverage, to expenses incurred with respect to "bodily injury" resulting from the "hazardous properties" of "nuclear material" and arising out of the operation of a "nuclear facility" by any person or organization.

C. Under any Liability Coverage, to "bodily injury" or "property damage" resulting from "hazardous properties" of "nuclear material", if:

- (1)** The "nuclear material" **(a)** is at any "nuclear facility" owned by, or operated by or on behalf of, an "insured" or **(b)** has been discharged or dispersed therefrom;
- (2)** The "nuclear material" is contained in "spent fuel" or "waste" at any time possessed, handled, used, processed, stored, transported or disposed of, by or on behalf of an "insured"; or
- (3)** The "bodily injury" or "property damage" arises out of the furnishing by an "insured" of services, materials, parts or equipment in connection with the planning, construction, maintenance, operation or use of any "nuclear facility", but if such facility is located within the United States of America, its territories or possessions or Canada, this exclusion **(3)** applies only to "property damage" to such "nuclear facility" and any property thereat.

2. As used in this endorsement:

"Hazardous properties" includes radioactive, toxic or explosive properties.

"Nuclear material" means "source material", "special nuclear material" or "by-product material".

"Source material", "special nuclear material", and "by-product material" have the meanings given them in the Atomic Energy Act of 1954 or in any law amendatory thereof.

"Spent fuel" means any fuel element or fuel component, solid or liquid, which has been used or exposed to radiation in a "nuclear reactor".

"Waste" means any waste material **(a)** containing "by-product material" other than the tailings or wastes produced by the extraction or concentration of uranium or thorium from any ore processed primarily for its "source material" content, and **(b)** resulting from the operation by any person or organization of any "nuclear facility" included under the first two paragraphs of the definition of "nuclear facility".

"Nuclear facility" means:

- (a)** Any "nuclear reactor";
- (b)** Any equipment or device designed or used for **(1)** separating the isotopes of uranium or plutonium, **(2)** processing or utilizing "spent fuel", or **(3)** handling, processing or packaging "waste";

(c) Any equipment or device used for the processing, fabricating or alloying of "special nuclear material" if at any time the total amount of such material in the custody of the "insured" at the premises where such equipment or device is located consists of or contains more than 25 grams of plutonium or uranium 233 or any combination thereof, or more than 250 grams of uranium 235;

(d) Any structure, basin, excavation, premises or place prepared or used for the storage or disposal of "waste";

and includes the site on which any of the foregoing is located, all operations conducted on such site and all premises used for such operations.

"Nuclear reactor" means any apparatus designed or used to sustain nuclear fission in a self-supporting chain reaction or to contain a critical mass of fissionable material.

"Property damage" includes all forms of radioactive contamination of property.



Employers Mutual Casualty Company

NONASSESSABLE POLICY — MUTUAL PROVISIONS

Corporate Office, Des Moines, Iowa

The Insured shall not be liable for any assessment under this policy.

By acceptance of this policy the Named Insured becomes a member of the Company and shall be entitled to vote at all meetings of the Company, and shall upon termination of this policy, participate in the distribution of dividends as fixed and determined by the directors in accordance with law. The annual meeting of the members is held at the Corporate Office of the Company in Des Moines, Iowa, at 9:30 a.m. Central Time, on the second Wednesday in February of each year.

IN WITNESS WHEREOF, this Company has executed and attested these presents.

Todd A. Strother, Secretary

Scott R. Jean, President

EMCASCO Insurance Company

Corporate Office, Des Moines, Iowa

IN WITNESS WHEREOF, this Company has executed and attested these presents.

Doug Van Zanten, Secretary

Scott R. Jean, President

Union Insurance Company of Providence

Corporate Office, Des Moines, Iowa

IN WITNESS WHEREOF, this Company has executed and attested these presents.

Doug Van Zanten, Secretary

Scott R. Jean, President

Illinois EMCASCO Insurance Company

Corporate Office, Des Moines, Iowa

IN WITNESS WHEREOF, this Company has executed and attested these presents.

Doug Van Zanten, Secretary

Scott R. Jean, President

Dakota Fire Insurance Company

Corporate Office, Bismarck, North Dakota

IN WITNESS WHEREOF, this Company has executed and attested these presents.

Doug Van Zanten, Secretary

Scott R. Jean, President

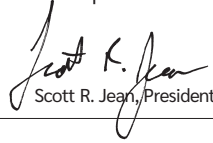
Employers Property & Casualty Company

Corporate Office, Des Moines, Iowa

IN WITNESS WHEREOF, this Company has executed and attested these presents.



Doug Van Zanten, Secretary



Scott R. Jean, President

Employers Mutual Casualty Company

MUTUALS—MEMBERSHIP AND VOTING NOTICE

Corporate Office, Des Moines, Iowa (Applicable in the State of Texas)

The Insured is notified that by virtue of this policy, the Insured is a member of the Employers Mutual Casualty Company of Des Moines, Iowa, and is entitled to vote either in person or by proxy at any and all meetings of said Company. The Annual Meetings are held in its Corporate Office, Des Moines, Iowa, on the second Wednesday of February, in each year, at 9:30 a.m. Central Time.

MUTUALS—PARTICIPATION CLAUSE WITHOUT CONTINGENT LIABILITY

No Contingent Liability: This policy is non-assessable. The policyholder is a member of the Company and shall participate, to the extent and upon the conditions fixed and determined by the Board of Directors in accordance with the provisions of law, in the distribution of dividends so fixed and determined.

IN WITNESS WHEREOF, this Company has executed and attested these presents.



Todd A. Strother, Secretary



Scott R. Jean, President

NORTH CAROLINA COMPANY ELIMINATION ENDORSEMENT

The North Carolina Insurance Department requires the company to explain by this endorsement that:

**Employers Mutual Casualty Company
EMCASCO Insurance Company
EMC Property & Casualty Company
Union Insurance Company of Providence
Hamilton Mutual Insurance Company**

are licensed to do insurance business in North Carolina, but;

**Dakota Fire Insurance Company and
Illinois EMCASCO Insurance Company**

are not licensed companies in North Carolina and reference to such is hereby deleted from the policy.

This endorsement in no way affects the coverage under the policy/bond to which it is attached but is intended only to clarify the name of the issuing company.

IMPORTANT NOTICE TO POLICYHOLDERS

Re: New Federal Claim Information Reporting Requirements

New federal reporting requirements for claims involving parties potentially eligible for Medicare are now in place. With your continued cooperation, EMC Insurance Companies will be able to meet these new reporting responsibilities.

To help us comply with the new requirements, **you simply need to make sure you report all claims to your agent or EMC Insurance Companies.** If you choose to pay a claim, or attempt to settle a claim on your own, you may become responsible for these new reporting requirements.

For specific information on Section 111 of the Medicare, Medicaid, and SCHIP Extension Act of 2007 (MMSEA) (P.L. 110-173), go to <http://go.cms.gov/mirngbp> or consult with your attorney.